



## **Private Sector in the Federal Republic of Somalia: Composition, Performance and Constraints to Growth**

Results from Two Rounds of Integrated Business Surveys and Qualitative  
Assessments

**December 1, 2025**

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This report was prepared under the project’s Pillar 1, drawing on the results from the two rounds of data collection conducted in the Federal Republic of Somalia in August–November 2023 and in October–November 2024. In each round the data collection includes both a survey (Integrated Business Establishment Surveys, IBES) and focus group discussions. The findings from the first round were summarized in the report *‘Somalia Business Survey and Qualitative Assessment: First-Round Results’*. This final report merges and compares the results of both rounds.

The report complements the findings of the recently published World Bank Group’s Country Private Sector Diagnostic (CPSD) on the Federal Republic of Somalia and other analytical works on private sector development in the economy, including the Enterprise Survey data published in December 2025.

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## Executive Summary

### ***Composition and performance of the private sector***

**Firms in the Federal Republic of Somalia are predominantly in the services sector, vast majority is informal.** Private sector activity in the country is predominantly comprised of low-value-added service firms, with 72 percent of establishments operating in wholesale and retail trade, followed by public and social services and market-oriented services (12 percent and 11 percent, respectively), and manufacturing (5 percent).<sup>1</sup> The majority of firms operate in the informal sector, with formal establishments representing about 28 percent of all businesses.

**Formal firms are overwhelmingly micro-sized, highly concentrated in a few urban centers, and largely male-owned.** Nearly 97 percent of formal firms employ 1–9 people and are mostly structured as sole proprietorships, which account for 91 percent of these establishments.<sup>2</sup> These firms are geographically concentrated, with Mogadishu alone hosting 31 percent of all formal establishments in the Federal Republic of Somalia,<sup>3</sup> and generating 67 percent of total sales and 62 percent of formal private sector employment across the five surveyed cities.<sup>4</sup> Female participation in firm ownership also remains extremely limited. Only 7 percent of businesses are majority-owned by women—substantially below both the Sub-Saharan Africa and global averages, where female-majority ownership stands at about 16 percent—underscoring persistent gender gaps in access to economic opportunities.<sup>5</sup>

**Sales growth in the formal private sector is highly uneven.** In 2024, 54 percent of formal firms in the five cities that were analyzed experienced higher sales, up from 43 percent in 2023. While this is a positive trend, the share of firms reporting declining sales also rose, from 3 percent to 8 percent.<sup>6</sup> Specifically, 54 percent of firms reported an average increase of 17 percent, 38 percent saw no change, and 8 percent reported an average decrease of 14 percent. An establishment-weighted average of firms' sales changes indicates a moderate improvement in sales performance, estimated at around 8 percent. Sales performance was geographically uneven. Improvements were concentrated in Mogadishu, where 65 percent of firms reported sales growth in 2024. In contrast, Bosaso lagged, with weakening sales performance (only 11 percent reported increases, while 32 percent reported declines). Finally, firm size also mattered, as larger firms (10+ employees) led sales increases, with 61 percent reporting higher sales in 2024—more than double the 29 percent recorded in 2023, and higher than the 48 and 49 percent of smaller firms (5–9 employees) that reported increased sales in 2023 and 2024, respectively—suggesting that firm size continues to be a key driver of growth.

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<sup>1</sup> Federal Republic of Somalia Integrated Business Establishment Census (SIBEC) 2024. The census includes formal, informal, and micro-establishments of all sizes in 16 urban centers, operating in all sectors except for agriculture, mining, public administration, and household activities. Formal establishments are defined as those having fixed location and holding licenses from the Ministry of Commerce (UBI Code), Ministry of Finance (TIN), Chamber of Commerce (SCCI), or Municipality license.

<sup>2</sup> SIBEC 2024.

<sup>3</sup> SIBEC 2024.

<sup>4</sup> Integrated Business Establishment Surveys (IBES).

<sup>5</sup> IBES conducted in the Federal Republic of Somalia and in other regional and global contexts.

<sup>6</sup> IBES.

**Unlike sales, productivity has grown only modestly, with gains concentrated among stronger firms while weaker firms fell further behind.** Across the five cities, average labor productivity—measured as output per worker—was US\$1,540 (median US\$1,333). This is modest compared to the median labor productivity for firms in several Sub-Saharan African countries (US\$14,179).<sup>7</sup> Mogadishu and Beledweyne were the most productive in 2024, while Bosaso and Kismayo lagged. Notably, smaller firms were more likely to fall into the high or medium-high productivity categories (58 percent) compared to larger firms, where only 40 percent fell into these brackets. This challenges the common assumption that larger firms are inherently more efficient and suggests that some thrive in protected or non-tradable sectors without investing in innovation. When looking at productivity growth, overall improvements in 2024 were modest. Productivity increased only in Baidoa, remained broadly flat in Mogadishu, and declined in other cities. Moreover, the productivity distribution reveals growth among more productive firms, while those below the median experienced worsening performance. This divergence signals that recent gains in 2024 are not broadly shared and raises concerns about inclusive growth.

**Job creation remains limited despite stronger sales growth, reflecting weak labor absorption.** In 2024, only 14 percent of firms reported expanding their workforce, down from 30 percent in 2023, while the share of firms reducing staff rose from 3 to 8 percent. Even in Mogadishu, which leads in sales growth, job creation was minimal. In effect, in Mogadishu 88 percent of firms reported no employment change in 2023 and 91 percent in 2024, while Bosaso saw sharp cuts in employment (41 percent of firms reduced staff in 2024).

**Weak labor absorption is accompanied by investment levels that are slightly below regional levels and marked differences across cities.** On average, 31 percent of firms made fixed-asset purchases in 2024, slightly below regional and global averages (35 and 38 percent, respectively).<sup>8</sup> City patterns on this front diverged. Firms in Mogadishu led current investments (43 percent of firms), while firms in Kismayo (11 percent) and Bosaso (14 percent) lagged. By firm size, larger firms invested more than smaller ones (35 versus 28 percent), yet higher investment was not consistently linked to productivity gains.

**About 84 percent of firms sell primarily to local markets.** Participation beyond local markets is low across the five cities that were analyzed and even more so in Baidoa (2 percent), Kismayo (2 percent), and in Beledweyne (8 percent). Mogadishu and Bosaso show higher national reach (about 18 percent each), and only firms in Mogadishu report international sales. By size, just 6 percent of smaller firms operate beyond local markets, versus 25 percent nationally and 4 percent internationally among larger firms. Overall, only 7 percent of firms export directly, and 42 percent use imported inputs—both below the global benchmark (11 percent and 56 percent, respectively).

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<sup>7</sup> This indicator is computed in two steps using the World Bank Enterprise Surveys of African countries (last year available). First, the median productivity is calculated within each country, which reflects the performance of the middle firm in that country. Then, the average of these country-level medians is taken, giving each country equal weight regardless of its size or number of firms.

<sup>8</sup> IBES conducted in the Federal Republic of Somalia and World Bank Enterprise Surveys for regional and global comparators.

### **Key business environment constraints**

**Market competition emerged as the most pressing constraint for Somali firms in 2024, surpassing infrastructure issues.** Across cities, 44 percent of firms cited competition as their top obstacle, and 57 percent of smaller firms versus 26 percent of larger firms identified competition as their primary constraint. Within competition, the main obstacles cited were price distortions (39 percent of firms), entry barriers (28 percent of firms), and competition from informal firms (13 percent of firms), with their relative importance varying across cities and firm sizes. By firm size, price distortions are slightly more binding for smaller firms (41 percent versus 34 percent). Price distortions were also most acute in Baidoa, Beledweyne, and Bosaso, where focus group discussions (FGDs) highlighted monopolistic practices in telecom, electricity, and imported goods as pressing issues. FGDs also attribute price distortions and entry barriers to monopolistic control over key industries, state favoritism, and weak competition oversight. Insecurity adds another layer of complexity, especially in the southern and central regions. Entry barriers are more binding for larger firms (32 percent versus 26 percent) and dominate as a constraint to competition in Mogadishu (42 percent). Though reforms such as online registration have begun, enforcement remains uneven, and the institutional and regulatory landscape is fragmented across federal, state, and municipal levels. Competition from informal firms was also cited as a key reason for competition constraints overwhelmingly affecting smaller firms (20 percent of smaller firms versus 2 percent of larger firms). Taken together, IBES results and FGD perspectives underscore the importance of strengthening fair competition oversight and reducing regulatory fragmentation to level the playing field.

**Transportation and logistics constraints also remain a major barrier to firm performance in the Federal Republic of Somalia, driving up costs and limiting the ability of businesses to grow and compete.** In both 2023 and 2024, transportation was among the most frequently cited obstacles to operations. Where transport is the top obstacle, firms most often cite high cost (54 percent), followed by limited storage (17 percent), speed (15 percent), and reliability (10 percent). In 2024, transportation ranked as the second highest obstacle across the five cities surveyed (13 percent), with this issue being reported most important in Bosaso (18 percent) and least reported in Kismayo (2 percent). Larger firms were also nearly twice as likely as smaller ones to cite transport as the top obstacle. Poor road conditions, high port fees, and limited storage and cold chain infrastructure were reported in FGDs as key factors disrupting supply chains and inflating operational costs, especially in sectors such as agribusiness. Focus group participants also emphasized that the majority of paved roads are in disrepair, with seasonal flooding further impeding the movement of goods. These logistical shortcomings contribute to fragmented markets, favor established firms with greater resources, and trap smaller businesses in local markets. As a result, the private sector continues to struggle with high prices, inconsistent supply, and limited access to broader investments and trade opportunities. The quality of logistics in the Federal Republic of Somalia has slipped in international comparisons. Its ranking on the World Bank Logistics Performance Index fell from 127/150 (2007) to 138/140 (2023), while it stands at 133/140 for trade- and transport-related infrastructure quality.<sup>9</sup>

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<sup>9</sup> World Bank. 2023. 2023 Logistics Performance Index (Global). *Logistics Performance Index*. <https://lpi.worldbank.org/international/global>.

Furthermore, more than 90 percent of paved roads have deteriorated, with the Mogadishu-Bosaso trip sometimes taking five days.<sup>10</sup> As a result, the private sector continues to struggle with inconsistent supply and limited access to broader investment and trade opportunities.

**Internet connectivity is increasingly recognized as a critical constraint to business growth, especially for larger firms and those in Mogadishu.** In 2024, 7 percent of firms—up from just 2 percent in 2023—identified it as a major constraint, with 90 percent of these citing low-speed connections as the main issue. Connectivity challenges were reported especially by firms in Mogadishu (13 percent) and by larger firms (17 percent). Persistent infrastructure gaps, especially in central and southern regions, limit speed and reliable connectivity. Larger and more digitally reliant firms face the greatest challenges, as poor internet hinders basic operations such as sales, coordination, and digital finance. Demand-side gaps also matter. Sectoral and geographic disparities in digital adoption persist, with broadband access and digital business practices remaining limited outside Mogadishu, especially in interior and secondary cities. Connectivity limitations also help explain why many firms remain local rather than expanding beyond their municipality.

**Access to electricity continues to hinder business operations, particularly due to high costs and unreliable service.** These issues are especially acute outside major cities, where limited infrastructure restricts firms' ability to operate beyond their local markets. Even in urban areas, where access is comparatively better, poor service quality and high electricity costs remain persistent concerns. Focus group participants emphasized that electricity constraints often limit mobility and delivery capacity, further discouraging business expansion. In 2023, 11 percent cited electricity as the top obstacle versus 5 percent in 2024; among those affected in 2024, high cost was the leading issue (57 percent), followed by unreliability (40 percent). FGDs further noted that the lack of electricity outside firms' local municipalities is a direct reason many do not expand geographically.

**Similarly, financial constraints remain a critical barrier to firm growth, despite not being consistently cited as the top concern.** In 2024, only 10 percent of Somali firms applied for credit—half the rate observed in 2023—with smaller businesses and firms in Bosaso facing the most severe barriers. Rejection rates declined to 34 percent in 2024 (from 70 percent in 2023), consistent with borrower discouragement as applications fell. Nationwide, 55 percent of firms are credit constrained (69 percent of smaller firms versus 37 percent of larger firms), with the highest share in Bosaso (76 percent) and the lowest in Kismayo (15 percent).<sup>11</sup> Those rates are considerably higher than the regional and global averages (25 and 14 percent of firms, respectively). Among non-applicants, 55 percent were inhibited by barriers (26 percent cited collateral requirements, 17 percent procedures, others cited unfavorable terms or fear of rejection), while 45 percent reported no need. The credit market remains thin and urban-concentrated, serving larger, well-collateralized borrowers. Supply-side gaps (limited branch presence, high transaction costs, and weak product diversification) and demand-side constraints (low financial literacy and awareness) both suppress access. A notable

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<sup>10</sup> Bareisaite, Asta, Juan Andres Cartwright Ramon, and Mounir Bari. 2024. *Federal Republic of Somalia Country Private Sector Diagnostic*. Washington, DC: World Bank Group.

<sup>11</sup> The percentage of firms that are credit constrained is higher in the report compared to the results of the recent World Bank Enterprise Survey that identifies 28 percent of firms as fully credit constrained and 42 percent as partially credit constrained.

bright spot is the widespread use of mobile money, which enables basic transactions even where formal intermediation is limited.

### **Firms' expectations**

**Despite the abovementioned constraints, business expectations seem to be improving, offering grounds for cautious optimism.** Between 2023 and 2024, the share of firms expecting higher sales in the next six months increased from 51 to 74 percent. However, expectations were not always aligned with realized outcomes. While in 2023, firms that expected an increase in sales anticipated an increase of 21 percent over six months, the realized 12-month average growth in 2024 was about 8 percent, indicating overoptimism. City-level heterogeneity on this front is pronounced. In 2024, Kismayo was the most optimistic (97 percent of firms expecting higher sales), while Bosaso was the least (28 percent of firms). Investment intentions also remained high, with 64 percent of firms planning to purchase new or used assets. The share of firms expecting to fall into arrears declined markedly—from 15 to 8 percent—suggesting an improvement in financial resilience. Short-term survival prospects improved, with firms saying they would be unable to operate beyond one month if sales stopped falling from 30 percent in 2023 to 8 percent in 2024.

**Employment expectations, however, remain flat.** Roughly one-third of firms expected to hire new workers during the next six months in both years (31 percent in 2023 and 37 percent in 2024), with little movement in the share anticipating their workforce to remain stable (68 percent in 2023 and 63 percent in 2024), and a negligible proportion of firms expecting reduced headcounts. However, only 14 percent of firms reported expanding headcount in 2024 (less than half the share that had expected to do so in 2023). The noteworthy disconnect between rising sales and investment expectations and stagnant employment projections could stem from several factors, including structural labor market barriers, high labor costs, or uncertainty about long-term demand rather than labor-intensive growth. This highlights the need for labor market reforms and measures to reduce hiring frictions—particularly to foster inclusive, job-rich growth.

#### **Box 1. Key aggregate findings**

- **Formal enterprises in the Federal Republic of Somalia are dominated by services** (95 percent), overwhelmingly micro-sized (97 percent), highly concentrated in a few urban centers (Mogadishu accounts for 31 percent of firms, 67 percent of sales, and 62 percent of jobs), and largely male-owned (only 7 percent of firms are majority female-owned).
- **Performance of private sector firms is mixed.** In 2024, 54 percent of firms reported higher sales, but only 14 percent expanded employment. Productivity has grown only modestly between 2023 and 2024 and is polarized—with growth concentrated only among the most productive firms. Smaller firms are often more productive than larger ones.
- **Investments are steady and market reach is limited.** In 2024, investments were slightly below regional and global benchmarks (31 percent of firms made fixed-asset purchases versus 35 percent and 38 percent at the regional and global level, respectively), and market reach is narrow

(84 percent of firms sell only locally and just 7 percent export). Weak domestic demand and fragmented markets limit investments.

- **Competition is the most binding obstacle to private sector development cited by firms** (44 percent of firms, especially smaller ones, among which the share increases to 57 percent), driven by distorted prices, entry barriers, and informal competitors. At the same time, during FGDs, firms reported improved regulation and licensing and nascent reforms (for example, online registration) that—if consistently enforced—could help improve market contestability by stimulating firm entry.
- **Infrastructure is also reported as a binding constraint**, with severe infrastructure gaps due to costly and unreliable transport, problems with internet connectivity, and unreliable electricity. Nonetheless, during FGDs firms reported progress in internet access in recent years.
- **Limited access to finance is also concerning.** Overall, in the cities analyzed, only 10 percent of firms applied for a loan in 2024. Moreover, 55 percent of firms were credit constrained compared to an average of 25 percent in Sub-Saharan Africa. During FGDs, firms reported widely using mobile money to transact where formal intermediation is limited.
- **Expectations are high but often exceed outcomes.** 74 percent of firms anticipated 20 percent sales growth in 2024, about one-third expected to hire new workers, and 64 percent planned to invest. However, actual sales gains and capital spending remain subdued, and the proportion of firms that actually expanded their workforce is less than half of those that expected to do so.

## 1. Introduction

**This report arrives at an important moment in time, as the Federal Republic of Somalia enters a critical phase in its development.** Since the formation of the Federal Government in 2012, the country has made significant strides in political normalization, institutional reform, and economic recovery. The country has sustained robust growth, averaging 5.25 percent between 2013 and 2024 (World Development Indicators), and continues to rebuild essential governance and regulatory systems. However, deeply rooted fragility persists, with nearly 90 percent of the population facing multidimensional vulnerability. With constrained fiscal space and delivery capacity, the private sector’s role in services and employment is pivotal. Yet, informality, market concentration, and low productivity blunt its impact, making the translation of macro-level gains into inclusive, job-rich growth challenging for the country. As a result, economic opportunities remain insufficient for a rapidly growing and urbanizing population.<sup>12</sup> More robust, inclusive, and private sector-led economic growth is needed to ensure that the hard-won gains of the last decade take root.

**Supporting the development of the private sector is a priority for the Federal Government.** This is underscored in the National Transformation Plan (NTP) 2025–2029 and the Centennial Vision 2060 (CV2060). In effect, the NTP states that, “[The country] is committed to fostering private sector growth by improving the business environment, removing regulatory barriers, and promoting financial inclusion,” whereas the CV60 notes “[This strategic document] prioritizes the establishment of a thriving private sector, nurtured by a supportive ecosystem, to unlock opportunities for job creation, income generation, and foreign investment attraction.” The World Bank Group is also committed to supporting the Federal Government in achieving this objective, as indicated in the Country Partnership Framework for the Federal Republic of Somalia for FY24–28 under Pillar 1: Inclusive, private sector-led job creation and economic growth. As part of this pillar the World Bank Group plans on assisting the private sector to create more productive and higher-wage jobs, focused on bridging the “missing middle” of productive small and medium enterprises (SMEs).

**In this context, understanding the private sector—a constrained yet vital pillar of the economy—is crucial.** Given limited public sector fiscal space and underdeveloped institutional capacity for basic service delivery, the Federal Republic of Somalia’s private sector plays a central role in delivering services, generating employment (accounting for about 95 percent of jobs), and supporting communities. Yet it remains largely informal, fragmented, and undiversified. A small number of conglomerates dominate key markets, while most enterprises are informal micro-businesses with low productivity and limited links to wider markets.<sup>13</sup> Supporting private enterprises—especially in underserved regions—can reduce poverty and promote resilience. Unlocking the sector’s full potential is, therefore, crucial to achieving a more inclusive and prosperous country.

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<sup>12</sup> Bareisaite, Asta, and Juan Andres Cartwright Ramon. 2024. *Somalia Business Survey and Qualitative Assessment. First-Round Results*

<sup>13</sup> Bareisaite, Asta, Juan Andres Cartwright Ramon, and Mounir Bari. 2024. *Federal Republic of Somalia Country Private Sector Diagnostic*. Washington, DC: World Bank Group.

**However, reliable data on the Federal Republic of Somalia’s private sector remain scarce, limiting the possibility to design evidence-based reforms.** Some advances have begun to shift this landscape. For instance, the 2024 Federal Republic of Somalia Integrated Business Establishment Census (SIBEC) conducted by the Somali National Bureau of Statistics (SNBS) marks a historic milestone in national development planning, as it is the first national census in over 50 years to provide reliable data on the composition of the private sector, offering an essential foundation for evidence-based policy making. Yet, data on performance of the private sector remained scarce, as indicated by the 2024 Somalia Country Private Sector Diagnostic (CPSD), which underscored the urgent need for granular firm-level data to better understand firm performance and the key constraints to private sector growth, thereby laying the basis for strong, evidence-based policy making.

**To fill the remaining critical data gaps, this report presents new and comprehensive evidence on composition, performance, and constraints to growth of the Federal Republic of Somalia’s formal private sector.** It draws on two rounds of representative firm-level surveys conducted by the World Bank (that is, the 2023 and 2024 Integrated Business Establishment Surveys [IBES]). The surveys covered 700 formally registered firms across five cities—Baidoa, Beledweyne, Bosaso, Kismayo, and Mogadishu—with 86 percent of respondents tracked in both years.<sup>14</sup> Qualitative focus group discussions (FGDs), also conducted in 2023 and 2024, complement the firm-level surveys by adding context and nuance, capturing perceptions and dynamics that quantitative data alone cannot reveal.<sup>15</sup> Taken together, these data collection efforts provide an unprecedented view of the formal private sector in the Federal Republic of Somalia.

**The report aims to guide evidence-based policy making and complement the existing and ongoing private sector diagnostic efforts in the Federal Republic of Somalia.** It builds on recent diagnostics, such as the CPSD, which set out reforms priorities for the country’s private sector using available data. The purpose of this extended report is to offer a diagnostic overview of the private sector landscape, without proceeding into detailed policy recommendations. The new survey and focus group evidence presented in this report provide additional context on firm-level conditions and challenges, offering empirical support that reinforces and further substantiates the CPSD’s findings and recommendations. The diagnostic is also expected to serve as input to other analytical initiatives, including the upcoming *Growth and Jobs Report*, where policy priorities will be analyzed in greater depth. In December 2025, this effort was further complemented by the publication of the World Bank Enterprise Survey data, which can be leveraged to deepen the diagnostic of constraints to private sector growth by analyzing firms’ day-to-day experiences with the business environment.<sup>16</sup>

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<sup>14</sup> The report refers to the combined results of these five cities, as ‘aggregate’.

<sup>15</sup> The FGDs, which followed the surveys, were designed to complement the quantitative work by exploring in greater depth the areas that firms identified as most problematic. This qualitative approach helped shed light on specific findings, providing richer insights into the challenges and experiences reported by the firms. More details on the FDG are provided in Annex A.3

<sup>16</sup> The data are available on the World Bank Enterprise Survey (WBES) website <https://www.enterprisesurveys.org/en/enterprisesurveys>. The WBES interviewed 241 formal firms across the country, covering small (5–19 employees; 171), medium (20–99; 66), and large (100+; 4) firms.

**It is important to stress that important gaps remain.** As indicated by the SIBEC data used in the report to provide information on the business demographic in the country, formal firms account for only about 28 percent of all businesses,<sup>17</sup> leaving the majority of economic activity in the informal sector beyond their scope. This report focuses on the formal sector—by design, the survey covers only formally registered firms in five cities and excludes large conglomerates and informal micro-enterprises. Qualitative inputs—especially around competition and informal practices—help bridge this gap and shed light on the broader economic ecosystem. However, further analytical efforts are required to better understand the characteristics and performance of the informal sector in Somalia.

**The report is structured as follows.** Chapter 2 outlines the composition and performance of the private sector in the Federal Republic of Somalia, focusing on firm employment, productivity, and investment between 2023 and 2024. Chapter 3 examines key business environment constraints, including market competition, infrastructure issues (such as transportation and logistics, connectivity and digital technology, and electricity), and access to finance and government support. Chapter 4 analyzes firm expectations, covering anticipated sales, workforce adjustments, capital investment plans, and financial resilience. Chapter 5 concludes by discussing the implications for future policy interventions, prioritization, and areas for further diagnostic and analytical work. Methodological details on the surveys and FGDs are provided in the appendix, along with the sample composition of the IBES.

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<sup>17</sup> SIBEC 2024.

## 2. Composition and performance of the private sector in the Federal Republic of Somalia

**This chapter profiles the Federal Republic of Somalia’s formal private sector, highlighting differences across firm types.** The analysis of firm structure, performance, and investment patterns helps identify both strengths and structural bottlenecks. Although fewer than one in three establishments in the Federal Republic of Somalia are formally registered, focusing on formal firms is key to boosting investment and promoting more and better jobs. The formal sector is a bellwether for sustainable growth, investment attraction, and integration into global markets. Examining productivity in the formal private sector is crucial for investment and job creation, while improvements in this area can also benefit informal firms through spillovers, such as knowledge transfer and stronger market links.<sup>18</sup> Within the formal sector, the focus of this report is on privately owned firms in manufacturing, wholesale, and retail and market-oriented services sectors.<sup>19</sup>

**The chapter integrates multiple data sources.** The chapter starts by setting the stage on the composition of the private sector, leveraging the 2024 SIBEC.<sup>20</sup> It details the distribution of formal firms by size, sector, location, and ownership structures, including women’s participation. The rest of the chapter draws primarily on the 2023–2024 IBES and focuses on formal firms with five employees or more across five cities: Baidoa, Beledweyne, Bosaso, Kismayo, and Mogadishu.<sup>21</sup> These cities account for 56 percent of all formal firms in the Federal Republic of Somalia.<sup>22</sup> The analysis tracks productivity trends between 2023 and 2024. It examines firm investment behavior and international links, particularly through trade. The majority of firms in the IBES sample employ between 5 and 50 workers, with only a small share exceeding that range. To facilitate meaningful analysis, when IBES data are used, firms are grouped into two categories: smaller firms (5–9 employees) and larger firms (10 or more employees).

### 2.1 Characteristics of the formal private sector in the Federal Republic of Somalia

**Private sector activity in the Federal Republic of Somalia is predominantly concentrated in small, low-value-added services, with most firms operating at micro scale and with limited levels of formalization.** The total number of establishments recorded in the SIBEC is 174,149, categorized into formal (28 percent), informal (25 percent), and micro-establishments (47 percent). Within the formal sector, micro firms (1–9 employees) represent about 97.0 percent of formal firms, small firms (10–49 employees) account for an estimated 2.5 percent, and approximately 0.5 percent

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<sup>18</sup> A companion report could explore the informal sector—which plays a significant role in the Somali economy—that falls outside the scope of this analysis.

<sup>19</sup> The IBES covers firms operating in the non-farm, non-mining, and non-financial private sector. Specifically, it includes firms in manufacturing (Group D); construction (Group F); various service sectors (Groups G and H); transport, storage, and communications (Group I); and information technology (Division 72 of Group K), following the International Standard Industrial Classification (ISIC) Rev. 3.1. Additional service sectors, identified by SIBEC as public and social services (such as electricity, gas, steam, and air conditioning supply; water supply, sewerage, and waste management; education; human health and social work activities; arts, entertainment, and recreation; and other service activities) are not included. More details on the sample composition are provided in Appendix A.2.

<sup>20</sup> The 2024 SIBEC is a ground-breaking endeavor by the SNBS to completely capture the country’s business demography. This first-of-its-kind census collected thorough information on formal, informal, and micro-establishments.

<sup>21</sup> The five cities were chosen based on the concentration of private sector activities and ensure a balanced coverage of the different locations in the country (that is, coastal and inland). Details about the 2023 and 2024 IBES are provided in the Appendix.

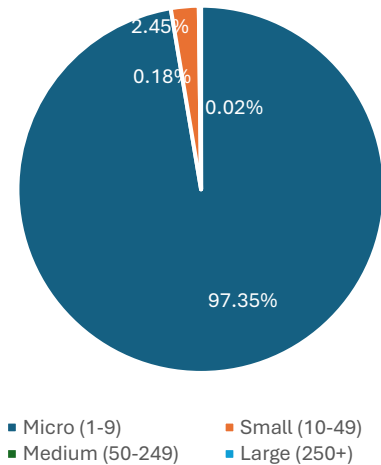
<sup>22</sup> SIBEC 2024.

is split between medium-size firms (50–249 employees) and large firms (250 or more employees) (Figure 2.1a).<sup>23</sup> In terms of sectors, wholesale and retail trade accounts for 72 percent of all establishments, followed by public and social services and market-oriented services (12 percent and 11 percent, respectively), and manufacturing (5 percent) (Figure 2.1a). By legal status, approximately 91 percent of formal firms are sole proprietorships, 6 percent operate as partnerships, and 3 percent are nongovernmental organizations or other type of entities (Figure 2.1c).

**The Federal Republic of Somalia’s formal private sector is also disproportionately concentrated in Mogadishu relative to the city’s population share.** According to SIBEC 2024, Mogadishu (Banadir) hosts about 31 percent of formal firms, followed by Bosaso (12 percent), Beledweyne (5 percent), Kismayo (4 percent), and Baidoa (4 percent) (Figure 2.1d). Yet, Mogadishu accounts for only 12 percent of the country’s population,<sup>24</sup> implying a concentration 2.7 times higher than its population share and underscoring the policy need to spread formal sector growth beyond the capital.

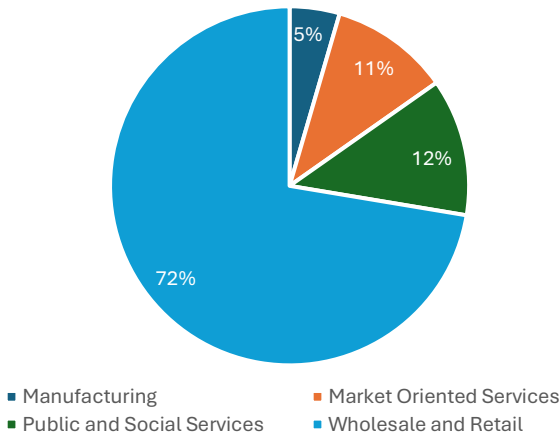
**Figure 2.1a - The entire formal private sector is predominantly composed of micro firms**

Percentage of firms, by size



**Figure 2.1b - Most formal firms are in wholesale and retail**

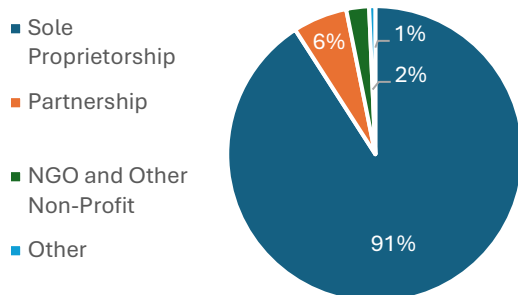
Percentage of firms, by sector



<sup>23</sup> Firm size classifications are based on the 2024 SIBEC, which has minor differences from the categories used in the World Bank’s IBES.  
<sup>24</sup> United Nations Statistics Division. *Somalia - Country Profile (UN Data)*. United Nations 2024. <https://data.un.org/en/iso/so.html>.

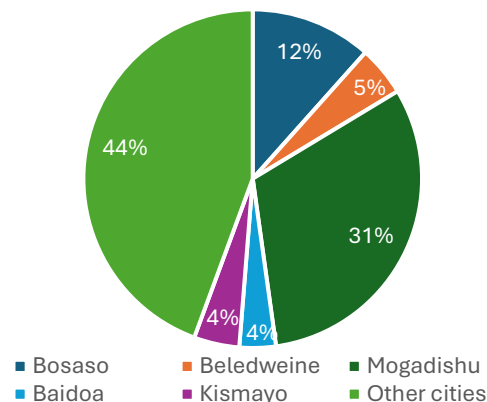
**Figure 2.1c - Large majority of formal firms are owned by a single sole proprietor**

Percentage of firms, by legal ownership



**Figure 2.1d - Almost one-third of formal firms are in Mogadishu**

Percentage of firms, by city



Source: SIBEC 2024; SNBS.

Note: Figure 2.1b: Market-oriented services include accommodation and food service activities; information and communication; real estate activities; professional, scientific, and technical activities; and administrative and support service activities. Public and social services include electricity, gas, steam, and air conditioning supply; water supply, sewage, and waste management; education; human health and social work activities; arts, entertainment, and recreation; and other service activities.

Figure 2.1d: The category of other cities includes the cities of Hargeisa, Berbera, Burao, Garowe, Galkayo, Adado, Dhusamareeb, Jowhar, Barawe, Hudur, and Beletxawo. Awdal, Sanaag, Sool, and Middle Juba regions are not included in the census.

## Box 2. Female entrepreneurship in the formal sector is limited

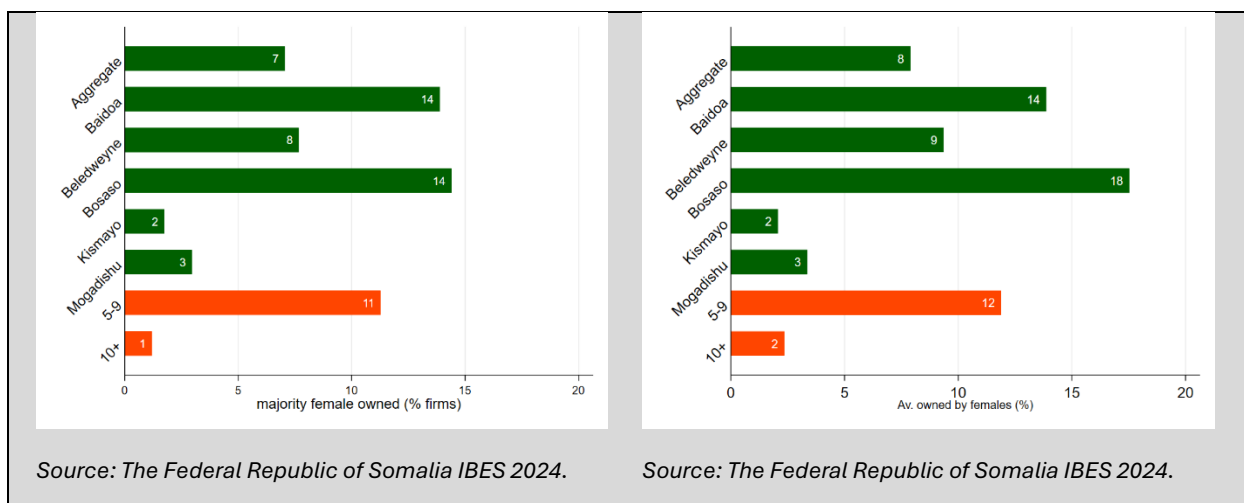
In 2024, only 7 percent of businesses in the 5 cities in the analysis were majority-owned by women. This is substantially below both the Sub-Saharan Africa and global averages, where female-majority ownership stands at about 16 percent. The highest shares of majority female-owned establishments were observed in Bosaso and Baidoa (14 percent), and among smaller firms at the aggregate level (11 percent) (Figure 2.2a). At the same time, the average share of firm ownership held by women is also lower than in comparable contexts. In the five cities analyzed, women owned on average just 8 percent of each firm, compared with an average of 18 percent in Sub-Saharan African countries (Figure 2.2b). Examining the percentage of ownership is important because the extent of ownership typically determines real decision-making power, control over profits, and access to collateral. When women hold only a small ownership stake, they are less able to influence strategic choices, expand their economic opportunities, or benefit from the full returns of the business, even when they are involved in day-to-day operations.

**Figure 2.2a - Few firms are majority-owned by women**

Percentage of firms, by gender of the owner (2024)

**Figure 2.2b - When in business, women own a small percentage of firms' shares**

Percentage owned by female (2024)



## 2.2 Annual sales, employment growth, labor productivity, investment trends, and market reach

### Sales

**A majority of firms reported increasing sales in 2024, showing improvement over 2023.** Figure 2.3a shows the share of firms reporting increased, decreased, or unchanged sales over the previous 12 months, both overall and by city. In 2024, 54 percent of firms reported an average sales increase of 17 percent compared to the year before (up from 43 percent in 2023), 38 percent reported no change, and 8 percent reported an average decrease of 14 percent in 2024 (up from 3 percent in 2023) (See Figure 2.3a and Figure 2.3b~~Error! Reference source not found.~~).

**This positive trend masks a sharp geographic divergence.** Regional analysis reveals that while some areas experienced better performance in 2024 compared to the year before, others continued to face significant challenges. Mogadishu's share of firms with rising sales jumped from 44 percent in 2023 to 65 percent in 2024, driving the overall positive performance at the aggregate level. On the contrary, firms in Bosaso remained the weakest performers, with only 11 percent reporting sales increases while 32 percent reported declines (Figure 2.3a). Other cities fell between these two extremes. The differences in net increase are also noticeable, with Mogadishu firms whose sales increased doing so by 16 percent on average, in comparison to an average of 10 percent in Bosaso. Similarly, firms in Mogadishu whose sales decreased did so by 20 percent on average, in comparison to an average of 11 percent in Bosaso (Figure 2.3b).

**Larger firms drove sales growth while smaller firms saw lower gains and more frequent declines.** Among firms with more than 10 employees (larger firms), the share reporting higher sales more than doubled—from 29 percent in 2023 to 61 percent in 2024—while the share of larger firms reporting declines edged down from 3 percent in 2023 to 2 percent in 2024. In contrast, smaller firms (with 10 or fewer employees) showed little improvement. While the share of these firms reporting an increase in sales remained almost unchanged (48 percent in 2023 and 49 percent in 2024), 13 percent of smaller firms reported a decline in sales in 2024 (up from 3 percent the previous year) (Figure 2.3c). On net, larger firms, which on average increased sales by 21 percent and decreased by 11 percent, had a net increase of 12.6 percent in 2024. At the same time, smaller firms experienced

an overall increase of 5.5 percent, less than half that of larger firms (Figure 2.3bError! Reference s  
ource not found.).

Figure 2.3a - The share of firms reporting sales growth increased in 2024, with Bosaso being the notable exception

Percentage of firms that increased and decreased sales in the last 12 months, by city and year

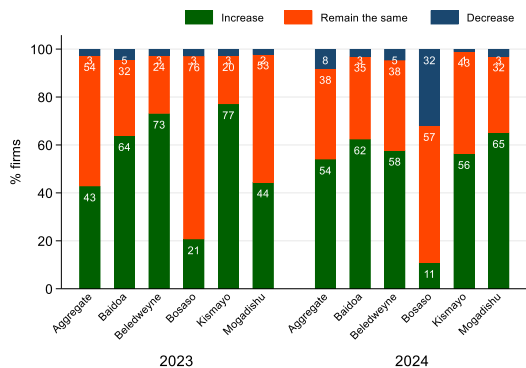


Figure 2.3b - The percentage of sales change varies by city and size

Percentage of sales change in the last 12 months, 2024 (by city and size)

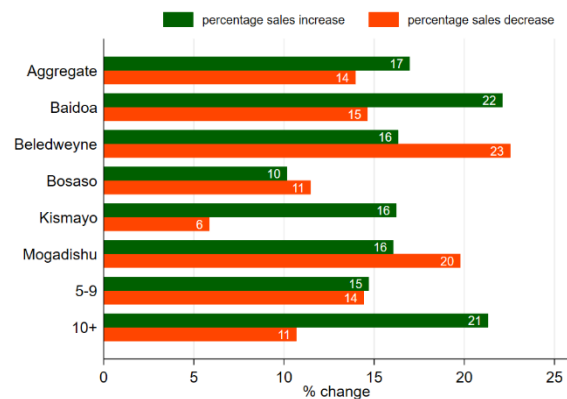


Figure 2.3c - In 2024, the share of firms with sales growth was more pronounced among larger firms

Percentage of firms that increased and decreased sales in the last 12 months, by size and year

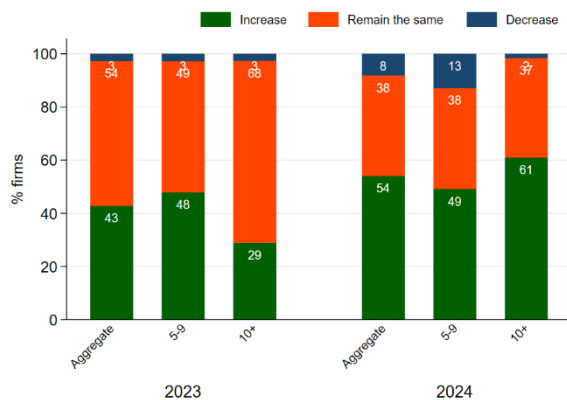
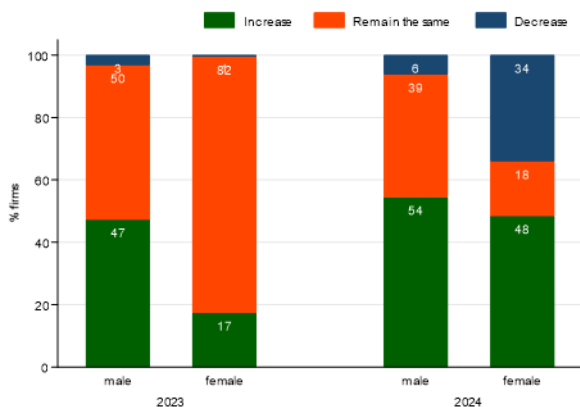


Figure 2.3d - The share of women-owned firms reporting higher sales rose in 2024, but so did the share reporting declines

Percentage of firms that increased and decreased sales in the last 12 months, by gender



Source: The Federal Republic of Somalia IBES 2024.

**Women-owned firms showed strong improvements in sales in 2024, although differences with men-owned firms remain.** In 2023, only 17 percent of women-owned firms reported higher sales, compared to 47 percent of men-owned firms. By 2024, the share of women-owned firms with increased sales rose to 48 percent, while the corresponding share for men-owned firms increased slightly to 54 percent.

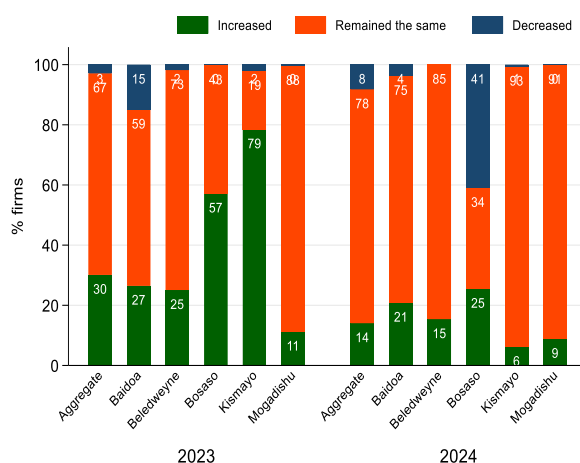
At the same time, the share of women-owned firms experiencing declines in sales also rose sharply, reaching 34 percent in 2024 compared to negligible declines in 2023. In contrast, men-owned firms remained relatively stable, with only minor changes in the share reporting decreased sales over the same period. Overall, female-owned firms saw a notable gain in sales performance, narrowing the gap with male-owned firms. However, the increased declines highlight ongoing challenges for women entrepreneurs in the economy (Figure 2.3d).

## Employment

**Despite sales gains, job creation in 2024 was weak, with most firms holding headcount constant.** Sustained increases in sales often drive job creation, with businesses expanding their operations and workforce to meet growing demand. Unfortunately, this is not the case in the Federal Republic of Somalia. The share of firms expanding their workforce in the five cities in the analysis fell from 30 percent in 2023 to 14 percent in 2024, while the share reducing employment rose from 3 percent to 8 percent. In Mogadishu, the share of firms expanding their workforce changed only minimally—88 percent of firms reported no employment change in 2023 and 91 percent in 2024. Meanwhile, Bosaso experienced a sharp reversal, with 41 percent of firms cutting jobs in 2024 after negligible reductions in 2023 (Figure 2.4a). Both smaller and larger firms reduced hiring momentum. In effect, while larger firms drove employment in 2023, there was a particularly steep drop in the proportion of firms increasing their workforce among larger firms—from 52 percent expanding in 2023 to 16 percent in 2024. Downsizing remained low among larger firms but rose sharply among smaller firms—from 3 percent to 13 percent (Figure 2.4b).

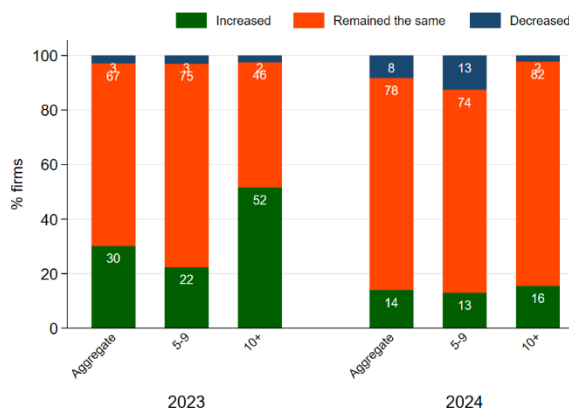
**Figure 2.4a - In 2024, majority of firms did not expand their workforce and even contracted**

Percentage of firms that increased, decreased employment by city and year



**Figure 2.4b - Majority of larger firms increased their workforce in 2023 but did not expand in 2024**

Percentage of firms that increased, decreased employment by city and size



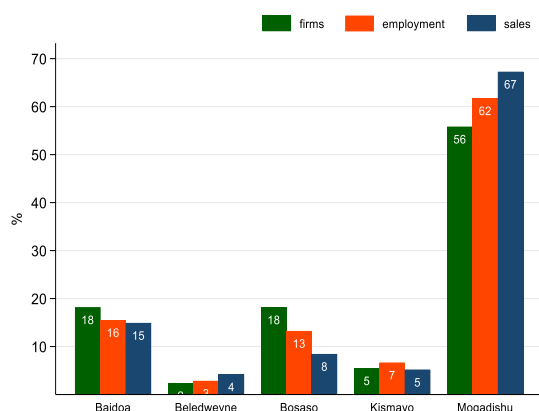
Source: The Federal Republic of Somalia IBES 2023 and 2024.

**Economic activity is highly concentrated in Mogadishu, which accounts for the majority of total sales and formal sector employment in the sample cities.** In 2024, firms in Mogadishu generated

67 percent of total sales and 62 percent of formal private sector jobs across the five cities analyzed, far exceeding the contributions of other localities. In effect, Baidoa ranked second with only 15 percent of total sales and 16 percent of total private sector employment (Figure 2.5a).<sup>25</sup> Larger firms in Mogadishu are pivotal. They represent 27 percent of firms but account for 42 percent of both total employment and total sales of surveyed cities (Figure 2.5b). Elsewhere, patterns vary, with larger firms contributing more in Kismayo and Beledweyne, whereas in Baidoa and Bosaso smaller firms drive most of the economic activity, particularly in terms of employment offered.

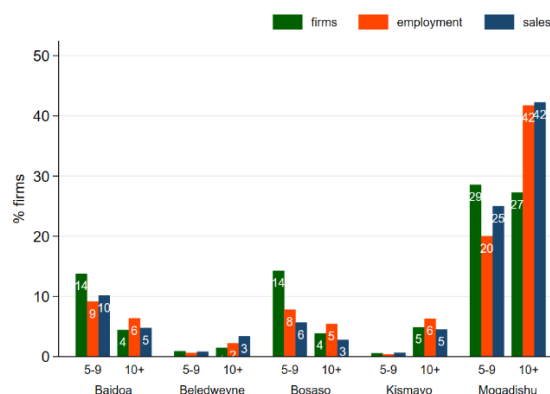
**Figure 2.5a - Economic activity is concentrated in Mogadishu**

Share of firms, employment, and sales by city and year



**Figure 2.5b - Large firms in Mogadishu contribute most to sales and employment**

Share of firms, employment, and sales by city and size



Source: The Federal Republic of Somalia IBES 2024.

Note: Total shares add up to a 100.

## Productivity

**Productivity improved slightly on average in 2024, but gains were uneven, and many lower-productivity firms slipped further.** Across the five cities, average labor productivity was US\$1,540 (with the median at US\$1,333).<sup>26</sup> This is modest when compared to the median labor productivity for firms in several Sub-Saharan African countries (US\$14,179).<sup>27</sup> Productivity in 2024 was not only low but also showed little growth compared to 2023. This is shown by the kernel density in Figure 2.6a, which depicts the distribution of firm productivity in 2024 and lies slightly to the right of 2023, reflecting only a modest overall improvement. The same figure also reveals that less productive firms (defined as those with sales per worker below the median) experienced a decline in productivity, as illustrated by the 2024 curve lying below the 2023 curve in the left tail of the distribution. This means that on top of labor productivity in the five cities in the analysis being very modest, the performance of less productive firms also worsened over the year. In simpler terms,

<sup>25</sup> According to 2024 SIBEC, Mogadishu's formal firms represent 56.5 percent of all formal firms in the five cities in the study.

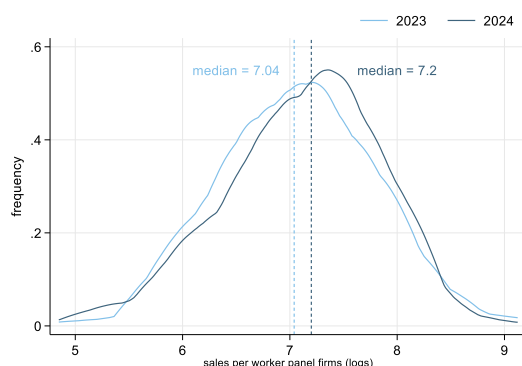
<sup>26</sup> The mean in 2023 was US\$1,516, and the median was US\$1,143. The difference between average and median values indicates that a small number of highly productive firms are driving the mean upward.

<sup>27</sup> This indicator is computed in two steps using the World Bank Enterprise Surveys of African countries (last year available). First, the median productivity is calculated within each country, which reflects the performance of the middle firm in that country. Then, the average of these country-level medians is taken, giving each country equal weight regardless of its size or number of firms.

firms that were already on the lower end of the productivity scale became even less efficient in 2024 compared to 2023, highlighting how the small gains seen at the aggregate level were not shared across the board.

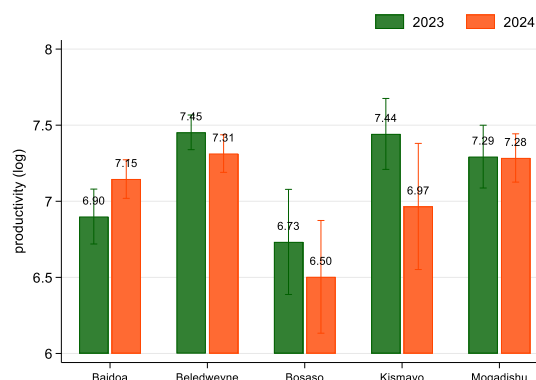
**Figure 2.6a - Firm productivity improved in 2024 but some firms underperformed relative to 2023**

Distribution of labor productivity in 2023 and 2024 - median (kernel)



**Figure 2.6b - Productivity changes vary across cities. While it decreased in most cities, Baidoa's firms became more productive**

Predicted productivity by locality holding size, sector, and age constant



Source: The Federal Republic of Somalia IBES 2023 and 2024.

Note: Figure 2.6a: The vertical lines correspond to the median of the productivity distribution.

Figure 2.6b: These values come from two separate regressions (one for each year, 2023 and 2024). The coefficients are marginal effects, indicating the adjusted mean productivity for each city. Each regression controls for sector, firm size, and firm age.

**The magnitude and direction of productivity changes differ from one city to another.** To document the heterogeneity of productivity across the different cities in the analysis, changes in productivity are estimated holding differences in location, size, sector, and age constant (Figure 2.6b). This enables the identification of differences based on geographical location for firms that are similar in other characteristics (that is, size, sector, and age of the firm). When all these elements are considered, productivity changes between 2023 and 2024 vary across geographical locations. Specifically, in Mogadishu, productivity remained largely unchanged between 2023 and 2024, while in Baidoa it increased. In contrast, productivity declined in the other cities.

**In 2024, Mogadishu and Beledweyne were the most productive cities.** Bosaso and Kismayo, on the contrary, had lower productivity. In 2024, the average firm productivity in Mogadishu was 118 percent higher than in Bosaso and 36 percent higher than in Kismayo (Figure 2.6b). Figure 2.7a provides more detail on the composition of firms by productivity level across cities, showing the distribution of firms classified by quartiles.<sup>28</sup> In Mogadishu, 57 percent of firms fall into the high or medium-high productivity categories, with the majority being high productivity. Beledweyne shows a

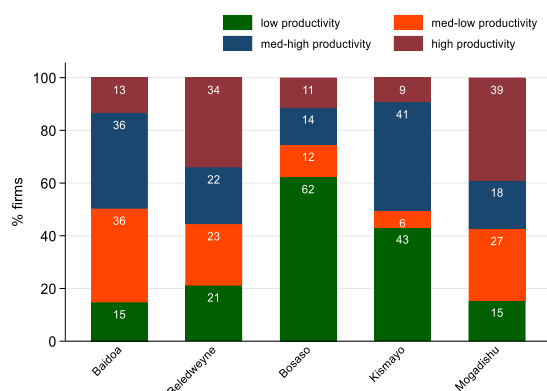
<sup>28</sup> Productivity is classified into four categories based on a firm's position in the productivity distribution: low productivity (below the 25th percentile), low-medium (25th to below the 50th percentile), high-medium (50th to below the 75th percentile), and high productivity (75th percentile and above). Figure 2.7a and Figure 2.7b show the distribution of firms across these categories by city and firm size.

similar pattern. In Baidoa and Kismayo, the share of high or medium-high productivity firms is comparable—49 percent and 50 percent, respectively—but unlike Mogadishu and Beledweyne, the majority fall within the medium-high category. In contrast, Bosaso has a much lower share of high and medium-high productivity firms (25 percent combined), with 62 percent of firms classified as low productivity. This confirms the earlier findings based on average productivity levels by city.

**Contrary to conventional expectations, high-productivity firms are more common among smaller firms than larger ones.** In 2024, 58 percent of smaller firms (5–9 employees) were in the high or medium-high productivity categories, compared to just 40 percent of larger firms (10 or more employees) (Figure 2.7a<sup>29</sup>). This pattern is consistent with literature suggesting that larger firms dominating formal economic activity often have incentives to focus on ‘easier’ and less productive activities—typically in non-tradable or protected sectors—rather than pursuing innovation or export-oriented strategies.<sup>30</sup> This contrasts with the more conventional view that emphasizes the disadvantages faced by smaller enterprises, such as limited economies of scale, higher per-unit input costs, and greater exposure to market frictions affecting access to capital and quality inputs.<sup>31</sup>

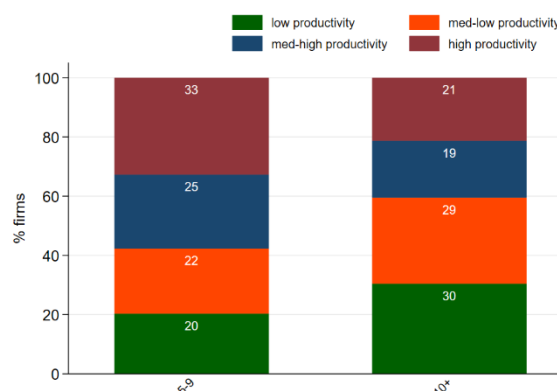
**Figure 2.7a - Productive firms are more concentrated in Mogadishu and Beledweyne**

Distribution of firms by their productivity quartile across cities



**Figure 2.7b - More of the high and medium-high productive firms are small**

Distribution of firms by their productivity quartile by size



Source: The Federal Republic of Somalia IBES 2024.

Note: Firms are classified according to their productivity quartile.

### **Firm-level investment**

**Investment activity in 2024 was broadly comparable to regional benchmarks—with marked differences across cities.** In 2024, 31 percent of firms in the five cities that were analyzed reported

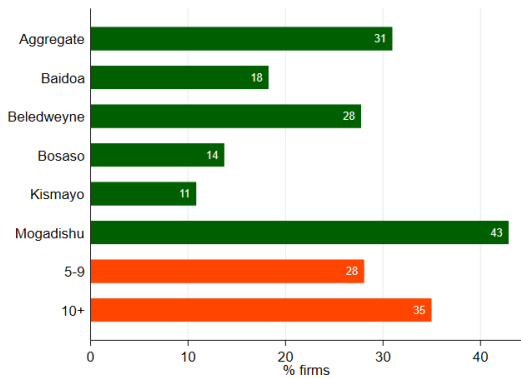
<sup>29</sup> The average productivity of small firms (1–9 employees) is US\$1,656, while firms with 10 or more workers have an average of US\$1,384.

<sup>30</sup> Schiffbauer, Marc, James Sampi, and Javier Coronado. 2025. Competition and Productivity: Evidence from Peruvian Municipalities. *The Review of Economics and Statistics* 107 (1): 95–108. doi: [https://doi.org/10.1162/rest\\_a\\_01257](https://doi.org/10.1162/rest_a_01257); Diwan, Ishac, Philip Keefer, and Marc Schiffbauer. 2020. “Pyramid capitalism: Cronyism, regulation, and firm productivity in Egypt.” *The Review of International Organizations* 15 (1): 211–246.

<sup>31</sup> Merotto, D., M. Weber, M., and R. Aterido. 2018. “Pathways to Better Jobs in IDA countries: Findings from Jobs Diagnostics.” *Job series* 14.

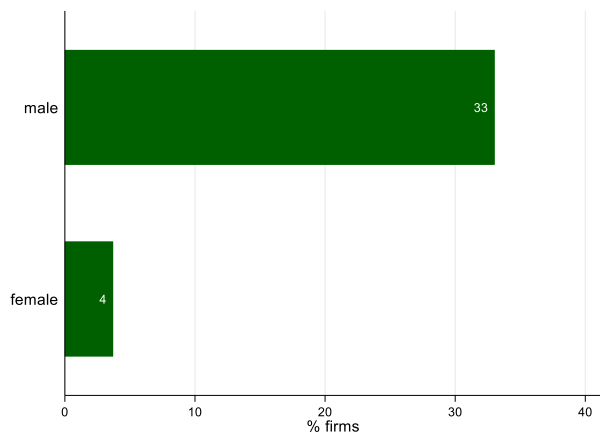
investing in fixed assets (Figure 2.8a)<sup>32</sup>—slightly below the Sub-Saharan African economies average (35 percent) and the global average (38 percent).<sup>33</sup> At the city level, Mogadishu leads on current investment, with a 43 percent investment rate, while Kismayo (11 percent) and Bosaso (14 percent) are lower. Larger firms invested more than smaller firms, but gains did not uniformly translate into stronger performance. Among smaller firms, 28 percent purchased fixed assets in the year before 2024, compared to 35 percent of larger firms (Figure 2.8a~~Error! Reference source not found.~~). Investment was particularly low among female-owned firms: only 4 percent reported purchasing fixed assets in the previous 12 months, compared to 33 percent of male-owned firms (Figure 2.8b). In other words, almost one out of every three male-owned firms invested in new fixed assets, while among female-owned firms, the rate was close to zero. This stark difference highlights significant gender gaps in firms’ ability to expand, modernize, and increase productivity. Box 3 explores the most frequently reported reasons behind the limited investment rates, highlighting the lack of demand as the leading cause.

**Figure 2.8a - Almost one in three firms invested during the previous 12 months**  
Percentage of firms that purchased new or used fixed assets in the past 12 months



Source: The Federal Republic of Somalia IBES 2024.

**Figure 2.8b - Only a very limited share of female-owned firms invested during the previous 12 months**  
Percentage of firms that purchased new or used fixed assets in the past 12 months, by gender



Source: The Federal Republic of Somalia IBES 2024.

**Box 3 - Lack of demand limits investment and growth**

**Lack of demand is the most reported reason for non-investing.** Firms that did not purchase fixed assets during the previous 12 months were asked the main reason for not doing so. Table 2.1 shows outcomes by size. While one in four larger firms report their business model does not need new investments to thrive, over half are primarily constrained by limited market size and lack of demand. A significant portion (11 percent) also perceive the current political climate as too risky. Notably, only 7 percent of large firms point to a lack of resources, compared to 20 percent of small firms citing resource scarcity as the reason

<sup>32</sup> Investment is defined as the purchase of fixed assets based on the question ‘Over the last 12 months, did this establishment purchase any new or used fixed assets, such as machinery, vehicles, equipment, land or buildings, including expansion and renovations of existing structures?’ This variable is only available in 2024. The results are slightly below the recent WBES that confirmed 35 percent of firms purchasing fixed assets.

<sup>33</sup> Data on the percentage of firms that invested in Sub-Saharan African countries and globally are from the World Bank Enterprise Survey website.

for not investing. Alongside the lack of resources, lack of demand and the political environment are important constraints for small firms (26 and 25 percent of firms, respectively).

**Table 2.1. Lack of demand is a major issue for larger firms**

Reasons why firm did not invest, by size (percentage of firms)

|                                     | <b>Aggregate<br/>(%)</b> | <b>Smaller<br/>firms (%)</b> | <b>Larger<br/>Firms (%)</b> |
|-------------------------------------|--------------------------|------------------------------|-----------------------------|
| Did not have enough demand          | 37                       | 26                           | 54                          |
| No need because of type of business | 20                       | 17                           | 25                          |
| Political uncertainty               | 19                       | 25                           | 11                          |
| Lack of resources                   | 15                       | 20                           | 7                           |
| Different business strategy         | 7                        | 10                           | 3                           |
| Regulations and permits             | 2                        | 2                            | 1                           |

Source: *The Federal Republic of Somalia IBES 2024.*

**The ability of Somali firms to expand beyond local markets is also severely limited by weak demand.**

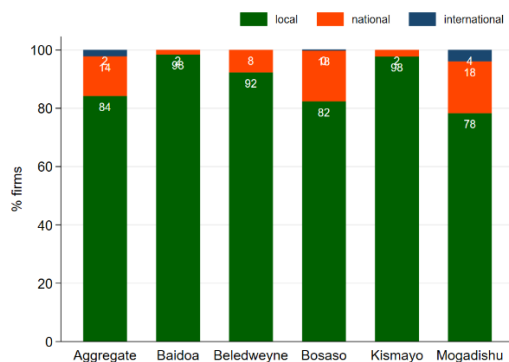
Business representatives across focus groups emphasized that markets outside major municipalities are often disorganized and underdeveloped, with limited consumer purchasing power, making sales in these areas financially unviable. This is particularly true for SMEs, which make up the majority of the Federal Republic of Somalia's private sector.

### **Market Reach**

**Most firms sell primarily to local markets, with national and international reach concentrated in Mogadishu and Bosaso.** Across the five cities surveyed in 2024, 84 percent of firms operated primarily in local markets (Figure 2.9a). This is remarkably higher than the 57 percent average in Sub-Saharan African economies. Participation beyond local markets is especially low in Baidoa and Kismayo (2 percent each) and remains limited in Beledweyne (8 percent). Mogadishu and Bosaso show higher national reach (18 percent of firms each), and only firms in Mogadishu report having international sales. By size, smaller firms are overwhelmingly local (only 6 percent operate beyond their community), whereas 25 percent of larger firms sell nationally and 4 percent internationally (Figure 2.9b).

**Figure 2.9a - Most firms primarily compete in local markets**

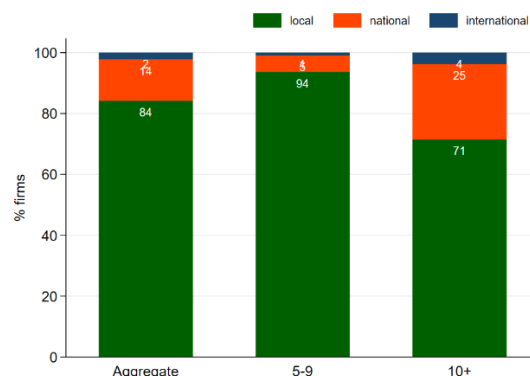
Percentage of firms by their market structure and city



Source: The Federal Republic of Somalia IBES 2024.

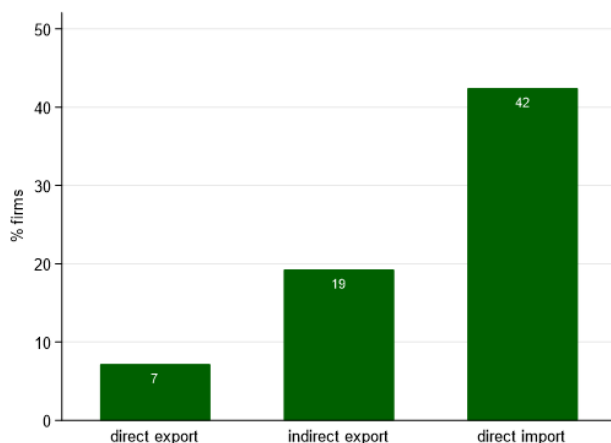
**Figure 2.9b - While small businesses are typically focused on local markets, a significant portion of larger firms operate over a broader geographic reach**

Percentage of firms by their market structure and size



**Figure 2.10 - The Federal Republic of Somalia's firms rely heavily on imports**

Percentage of firms trading (direct and indirect exporters and importers)



Source: The Federal Republic of Somalia IBES 2024.

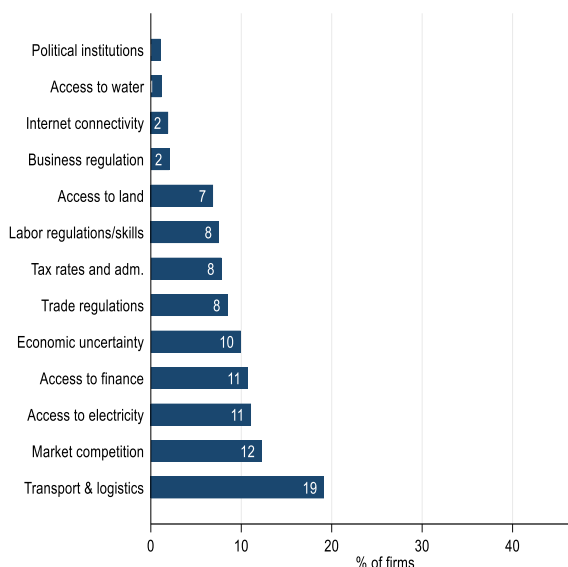
**Accordingly, firms' direct links with international markets remain limited relative to global benchmarks, with few exporters and below-average reliance on foreign inputs.** In 2024, only 7 percent of firms in the Federal Republic of Somalia exported directly to international markets, a share that is both below the global average of 12 percent and aligned with the Sub-Saharan African average of 7 percent. Similarly, 42 percent of firms reported using imported material inputs or supplies of foreign origin, which is lower than the 51 percent average in Sub-Saharan Africa and 59 percent globally (Figure 2.10). Taken together, these figures suggest a limited integration of Somali firms into cross-border value chains.

### 3. Key business environment constraints

**This chapter examines how business environment constraints may help explain firm performance in the five cities in the analysis.** The analysis focuses on three key areas: (a) market competition—particularly price distortions, entry barriers, and competition from informal firms; (b) infrastructure, including transportation and logistics, connectivity and digital technology, and electricity; and (c) access to resources, including public and private sector financial resources and other types of government support. These areas were selected based on the top obstacles to operations reported in the 2023 and 2024 IBES (see Figure 3.1a and Figure 3.1b).<sup>34</sup> The surveys identify market competition, transportation, connectivity, and electricity as the main obstacles. The selection was further informed by data on firms’ experiences cited by FGD respondents, which reveal persistent issues with access to finance. The chapter draws on both objective indicators from the IBES and the subjective perspectives of business owners expressed in the FGDs, combining lived experiences with assessments of the business environment.

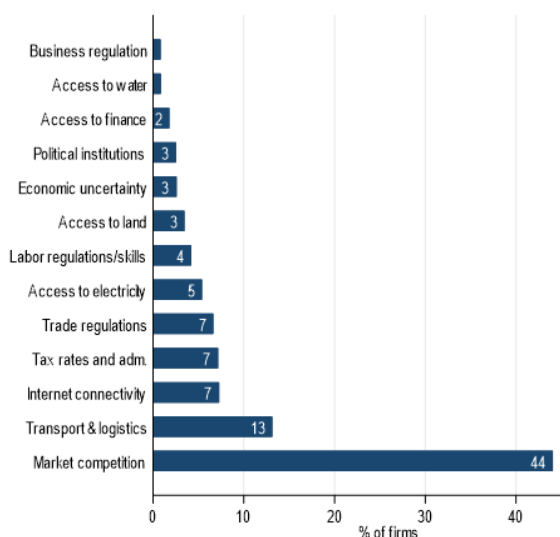
**Figure 3.1a - Transport and logistics was the top concern in 2023, closely followed by market competition and electricity, with only a small gap between them**

Percentage of Somali firms reporting top obstacles in 2023



**Figure 3.1b - In 2024, market competition was the biggest constraint to firms’ operations, far outweighing any other challenge**

Percentage of Somali firms reporting top obstacles in 2024



Source: The Federal Republic of Somalia IBES 2023 and 2024.

#### 3.1 Market competition and regulations

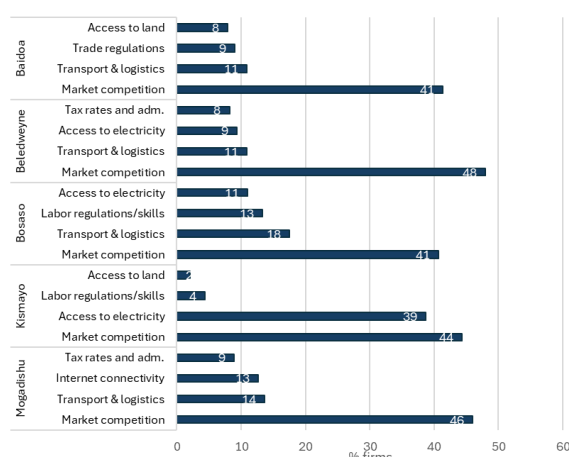
**Lack of market competition harms firms across all major cities in the Federal Republic of Somalia, with small enterprises bearing the brunt of the impact.** In 2024, market competition

<sup>34</sup> The recent WBES identifies access to finance, access to land, and electricity as more binding obstacles to firms’ operations. It is worth notice that the categories of the main obstacles among which firms were asked to choose were different in the WBES and in the IBES.

emerged as the most binding constraint for firms in all surveyed cities—ranging between 41 and 48 percent of businesses (Figure 3.2a). Underscoring size-based differences, 57 percent of smaller firms reported market competition as their primary operational challenge, compared with 26 percent for larger firms. Small businesses often have fewer resources, less bargaining power, and greater reliance on individual consumer demand, making them more vulnerable to the effects of anti-competitive behavior (Figure 3.2b). This is consistent with insights from the recent CPSD report, which highlighted that competition issues appear linked to the presence of large conglomerates that dominate key industries, such as logistics, tourism, and energy. Leveraging their political and economic influence, these groups maintain tight control over the market, making it difficult for smaller firms to compete. They benefit from economies of scale and control much of the export market for the limited range of goods produced in the Federal Republic of Somalia. Weak law enforcement and a lack of fair competition oversight allow them to crowd out other businesses and perpetuate an uneven playing field.<sup>35</sup>

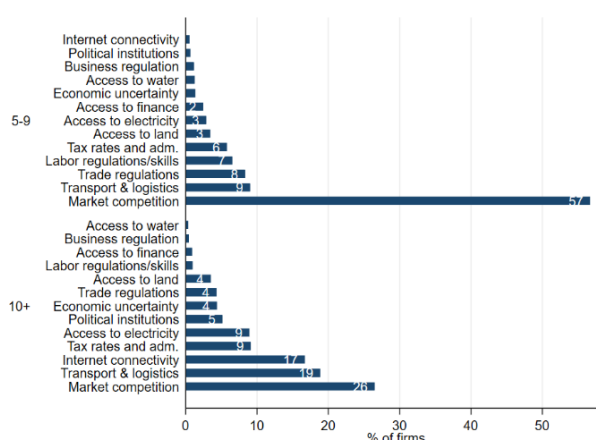
**Figure 3.2a - Market competition affects firms in all cities**

Percentage of Somali firms reporting top four obstacles, by city



**Figure 3.2b - Smaller firms are hit harder by market competition**

Percentage of Somali firms reporting top obstacles, by size



Source: The Federal Republic of Somalia IBES 2024.

**Among the firms that identified market competition as their main obstacle, the most commonly cited challenges were distorted market prices, entry barriers, and competition from informal firms.** Firms reporting market competition as their most binding constraint were asked to identify the primary concern regarding the competition pressures they faced. Their responses (see Table 3.1) reveal the widespread presence of anti-competitive practices. The most frequently cited concern was distorted market prices, reported by 39 percent of respondents in 2024. This was followed by barriers to market entry (28 percent). Other notable issues include informal competition (13

<sup>35</sup> Bareisaite, Asta, Juan Andres Cartwright Ramon, and Mounir Bari. 2024. *Federal Republic of Somalia Country Private Sector Diagnostic*. Washington, DC: World Bank Group.

percent), shortages of key inputs (9 percent), perceived favoritism by the state (7 percent), and competition from imports (4 percent).

**These challenges vary significantly by location and firm size.** Price distortions were the major concern in Baidoa, Beledweyne, and Bosaso (particularly affecting firms in Baidoa where 63 percent cited it as their worst challenge). In Mogadishu, firms worried most about entry barriers affecting market access (42 percent reported entry barriers as the most challenging), with price distortions being the major issue for one-third of businesses (Table 3.1). Price distortions affect both size groups but are slightly more binding for smaller firms (41 percent), who may lack the scale to absorb or counteract price manipulation (Table 3.2).

**Table 3.1 - The presence of price distortions poses a substantial competitive challenge for firms in nearly all cities, excluding Kismayo**

Top constraints related to competition, by city (percentage of firms)

|                                      | <i>Aggregate</i> | <i>Baidoa</i> | <i>Beledweyne</i> | <i>Bosaso</i> | <i>Kismayo</i> | <i>Mogadishu</i> |
|--------------------------------------|------------------|---------------|-------------------|---------------|----------------|------------------|
| Distorted market prices              | 39               | 63            | 41                | 38            | 18             | 33               |
| Entry barriers                       | 28               | 9             | 5                 | 8             | 2              | 42               |
| Competition from informal businesses | 13               | 10            | 19                | 25            | 3              | 12               |
| Shortages of inputs                  | 9                | 14            | 15                | 27            | 3              | 4                |
| State favoritism to companies        | 7                | 4             | 14                | 1             | 0              | 9                |
| Imports from other countries         | 4                | 0             | 6                 | 0             | 73             | 0                |

Source: *The Federal Republic of Somalia IBES 2024.*

**Table 3.2 - Price distortions pose the highest competitive threat to both large and small businesses**

Top constraints related to competition, by size (percentage of firms)

|                                      | <i>Aggregate (%)</i> | <i>Smaller firms (%)</i> | <i>Larger firms (%)</i> |
|--------------------------------------|----------------------|--------------------------|-------------------------|
| Distorted market prices              | 39                   | 41                       | 34                      |
| Entry barriers                       | 28                   | 26                       | 32                      |
| Competition from informal businesses | 13                   | 20                       | 2                       |
| Shortages of inputs                  | 9                    | 8                        | 11                      |
| State favoritism to companies        | 7                    | 5                        | 9                       |
| Imports from other countries         | 4                    | 0                        | 11                      |

Source: *The Federal Republic of Somalia IBES 2024.*

The sections below examine these issues in more detail, leveraging insights from the FGDs to enrich the analysis.

### 3.1.1 Price distortions

**Distorted market prices in the Federal Republic of Somalia stem from a combination of structural weaknesses, market monopolies, and the absence of effective regulatory oversight.**

Focus group participants emphasized how monopolistic control over essential sectors—such as telecommunications, electricity, and import/export—enables a handful of firms to manipulate

market conditions to their advantage.<sup>36</sup> FGD participants reported that companies often benefit from favoritism by state actors and operate in an environment with minimal regulatory accountability. As a result, they can restrict market entry, inflate prices artificially, and compromise the quality of goods and services.<sup>37</sup> This is particularly pronounced in sectors such as construction materials, electronics, and essential food items. Without strong competition frameworks, there is little to prevent anti-competitive behaviors, and market dynamics are often driven by speculation rather than underlying supply and demand dynamics. In comparing the current situation to 2023, respondents in the 2024 FGDs offered mixed perspectives on progress. Some noted a slight improvement in market stability, attributing this to increased government regulation and licensing, while others reported that price volatility had worsened, particularly for imported goods and fuel.

### 3.1.2 Entry barriers

**Somali businesses—especially larger firms in Mogadishu—report facing a multifaceted set of entry barriers.** Among firms experiencing market competition as their worst constraint, 28 percent cited entry barriers as the most significant hindrance. Notably, Mogadishu recorded the highest prevalence of this challenge, with 42 percent of firms in the city indicating entry barriers as a major operational obstacle (Table 3.1). Larger firms are more affected by entry barriers than smaller ones, with 32 percent reporting obstacles compared to 26 percent for smaller firms (Table 3.2), likely reflecting stricter and more complex compliance demands.

**Respondents in FGDs described entry barriers as a complex web of challenges.** These include limited access to finance, infrastructure gaps, and regulatory uncertainty. While issues with infrastructure and access to finance are discussed in the next sections, this section focuses mainly on regulatory barriers. Participants in FGDs noted that dominant firms in different sectors, including electricity and telecommunications, use their control over essential services to block new competitors, primarily by setting entry costs prohibitively high. Such concentration of market power limits firms' entry into the market and restricts consumer choices, undermining overall market efficiency. Without regulatory mechanisms to level the playing field, these monopolies are able to maintain dominance, often to the detriment of potential new entrants and smaller firms.

**FGD participants consistently emphasized that business registration and licensing processes impose substantial financial and administrative burdens on new entrants.** Despite recent progress,<sup>38</sup> the institutional and regulatory landscape remains fragmented and underdeveloped. Entrepreneurs described licensing procedures as complex, time-consuming, and regionally inconsistent, often requiring interaction with multiple government bodies and, in some areas, even local peace committees. The risk of inadvertently duplicating business names—due to insufficient government information—was cited as a common and costly issue. A lack of transparency,

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<sup>36</sup> This has led to multiple market inefficiencies, such as poor integration among telecommunications providers and excessively high prices for essential services like electricity.

<sup>37</sup> A similar situation is depicted in the recent WBG report: Bareisaite, Asta, Juan Andres Cartwright Ramon, and Mounir Bari. 2024. *Federal Republic of Somalia Country Private Sector Diagnostic*. Washington, DC: World Bank Group.

<sup>38</sup> The Federal Republic of Somalia has achieved notable progress in strengthening the regulatory system across key areas. As indicated in the recent CPSP report, this was possible through reforms such as the introduction of an online business registration system, which has helped streamline procedures and reduce the time and effort required to formalize a business. These advancements mark important

bureaucratic inefficiencies, and unclear legal frameworks further complicate compliance, especially for firms in tightly regulated sectors such as telecommunications, health care, and finance. This resonates with the messages of recent World Bank analytical reports on the Somali private sector (for example, the CPSD), which highlighted that processes for obtaining business licenses and completing post-registration steps are still complex, vary across regions, and often lack clarity. Persistent issues include overlapping mandates between the Government of the Federal Republic of Somalia, Federal Member States, and municipalities and the lack of a unified national business registration framework.<sup>39</sup>

### 3.1.3 Competition from informal firms

**The third most frequently cited challenge within market competition was competition from informal firms.** At the aggregate level, 13 percent of firms that identified market competition as a major constraint pointed to informal competition as the main issue, with the highest share in Bosaso (25 percent) and the lowest in Kismayo (3 percent) (Table 3.1). The issue is particularly pronounced among smaller firms, with 20 percent identifying direct competition from informal firms as their main market challenge (Table 3.2). This is partly because smaller formal firms often operate in the same low-margin segments as their informal counterparts. In contrast, only 2 percent of larger firms viewed informal competition as a significant obstacle. Instead, they were more affected by entry barriers and distorted market prices.

**Competition with informal firms varies significantly across cities and by firm size.** At the aggregate level, 37 percent of firms reported competing with informal businesses, when prompted (Figure 3.3a).<sup>40</sup> This is lower than both the Sub-Saharan African average, where 56 percent of firms face competition from informal firms, and the global average of 42 percent. Despite this relatively positive picture overall, competition from informal businesses is more pronounced in certain geographical areas of the economy. The challenge is significantly more acute in Baidoa (67 percent) and Beledweyne (60 percent). It is also notable in Kismayo (49 percent) and Mogadishu (31 percent). Strikingly, only 16 percent of firms in Bosaso reported facing competition from informal firms (Figure 3.3a)—a finding that warrants further investigation. As far as size goes, half of the smaller firms report facing competition from informal firms compared with 20 percent of the larger firms. As noted above, this is understandable since smaller firms tend to operate in retail, repair services, and local trade—where competition from informal firms is most intense (Figure 3.3b).

**Faced with competition from informal businesses, formal firms are often forced to choose between lowering their prices to unsustainable levels or maintaining them and losing customers.** Participants in FGDs emphasized the range of interlinked challenges posed by informal operators, who are free from tax obligations, licensing fees, regulatory compliance, and can offer lower prices, thereby creating severe market distortions. The challenge is heavily felt in sectors with thin profit margins, where even slight price differences can significantly influence consumer choices.

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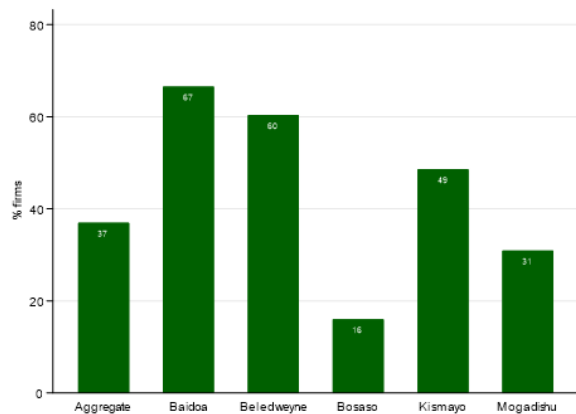
<sup>39</sup> Bareisaite, Asta, Juan Andres Cartwright Ramon, and Mounir Bari. 2024. *Federal Republic of Somalia Country Private Sector Diagnostic*. Washington, DC: World Bank Group.

<sup>40</sup> This is in line with the 41 percent reported in the 2025 WBES.

This forces formal businesses into unsustainable pricing strategies or the risk of losing customers, undermining their financial viability. The issue is further aggravated by the strategic positioning of informal sellers near formal establishments, intercepting customers with cheaper offerings. This dynamic erodes incentives for formalization, weakens the tax base, discourages investment and innovation, and threatens broader economic development. As formal firms bear higher operational costs without commensurate competitive advantage, the uneven playing field undermines market stability and long-term growth prospects.

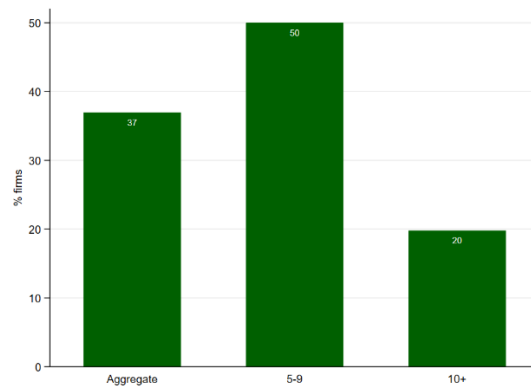
**Figure 3.3a - Competition from informal establishments is especially high in Baidoa and Beledweyne**

Percentage of firms facing competition, by informal establishments, by city



**Figure 3.3b - Smaller firms face more competition from informal establishments than larger firms**

Percentage of firms facing competition, by informal establishments, by size



Source: The Federal Republic of Somalia IBES 2024.

### 3.2 Infrastructure

**This section focuses on three key infrastructure areas that firms in the five cities analyzed identified as major obstacles to operations: transport and logistics, digital connectivity, and access to electricity.** Efficient transport and logistics systems reduce the time and cost of moving goods and services, enabling firms to reach wider markets, optimize supply chains, and compete more effectively. Digital connectivity enhances access to information, markets, and customers, while also enabling innovation, automation, and more efficient business operations. Meanwhile, reliable and affordable electricity is essential for virtually all economic activity, from powering machinery and equipment to supporting modern office functions. Together, these infrastructure components are necessary for businesses to scale, invest, and generate employment opportunities.

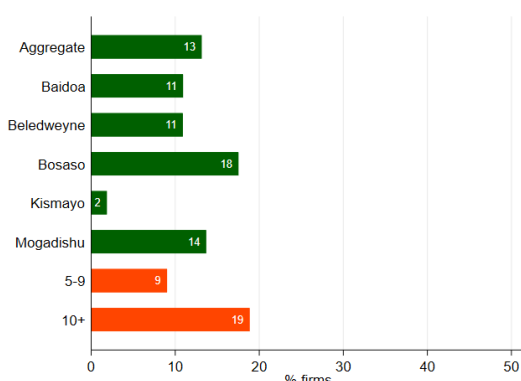
#### 3.2.1 Transportation and logistics

**Transport and logistics were identified as the most significant challenge to private sector development in 2023 and the second most relevant challenge in 2024.** In 2023, transportation was cited as the main obstacle by 19 percent of firms (Figure 3.1a). In 2024, 13 percent of firms identified transport as the most significant constraint to operations, making it the second most

commonly reported obstacle after market competition (see Figure 3.4a1b). Across cities, Bosaso, a major gateway for trade, reported higher transport constraints (18 percent of firms). The lowest share is in Kismayo, where transport is not included in the top four obstacles, with only 2 percent of firms highlighting it as problematic.<sup>41</sup> In the remaining cities transportation issues were cited as the top obstacle by between 11 and 14 percent of firms (Figure 3.4a). By firm size, larger firms are more affected by transportation challenges than smaller firms. Transportation is cited as the top obstacle by nearly 20 percent of larger firms, compared to only 9 percent of smaller firms (Figure 3.4a). This likely reflects larger firms' greater propensity to operate beyond local markets (29 percent compared to 6 percent—see Figure 2.9b).

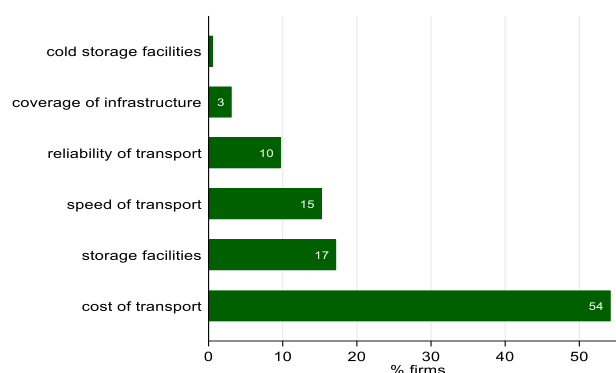
**Figure 3.4a - In 2024, larger firms are more obstructed by transportation issues**

Percentage of firms citing transportation as the top obstacle, by city and size



**Figure 3.4b - Cost of transport is the main issue related to transportation**

Worst problems cited when transportation is the biggest obstacle (percentage of firms)



Source: The Federal Republic of Somalia IBES 2024.

**Among transportation issues, the cost of transportation is the principal concern for firms in the five cities that were analyzed.** About 54 percent of businesses that identified transportation and logistics as a major obstacle cited high transport costs as the worst problem. This was followed by concerns about storage facilities (17 percent) and speed of transport (15 percent). Reliability was also cited by 10 percent of firms that reported transportation as a constraint (Figure 3.4b).

**Poor road conditions, limited connectivity, and insecurity are factors that drive transportation costs and consumer prices.** The country faces high road transport costs and elevated port and airport fees that complicate long-haul transportation. Geographic and economic fragmentation—especially between rural and urban, and coastal and landlocked areas—remains pronounced. Over 90 percent of the Federal Republic of Somalia's paved roads have deteriorated, while most rural roads are gravel or earth, making travel particularly difficult during the rainy seasons. The lack of all-season roads limits rural connectivity, increases fuel and maintenance costs, and prolongs travel times. For instance, it takes five days to travel between Mogadishu and Bosaso by road. High transport costs are further aggravated by roadblocks and by the absence of a unified vehicle registry.

<sup>41</sup> Firms in Kismayo reported market competition (over 40 percent) and access to electricity (nearly 40 percent) as the most pressing challenges. Other aspects of the business environment were considered less binding in comparison.

Poor regional road links also isolate the Federal Republic of Somalia from broader trade integration. While corridor rehabilitation is under way, progress remains constrained by insecurity, limited government capacity, and fiscal pressures.<sup>42</sup> Infrastructure shortfalls also directly affect pricing. Poor road networks, insecurity along trade routes, and unreliable port operations lead to delays and cost escalations that are passed on to consumers, while the widespread use of diesel generators due to an unreliable electricity grid inflates production costs.

**FGDs reinforced and contextualized the abovementioned infrastructure challenges.** Roads are reported to be often either nonexistent or in severe disrepair due to long-standing damage from the civil war, making the movement of goods costly and inefficient. These challenges intensify during the rainy season, when flooding further degrades road conditions and disrupts supply chains. This contributes to the concentration of activities in local markets previously discussed (84 percent of firms serve only local markets; see Figure 2.9a), drives up operational costs, and forces firms to contend with goods scarcity and inflated prices, thereby limiting their potential for growth and expansion of markets. FGDs also uncovered that markets beyond major municipalities are fragmented, with limited consumer purchasing power, making outreach to those areas financially unattractive for many firms—especially SMEs—thereby dampening the returns on investment in logistics capacity.

**Logistics are also identified as a challenge, with one recurring concern—particularly among firms in the agri-business sector—being the lack of cold chain infrastructure.** Perishable goods often spoil before reaching markets, leading to revenue loss, product scarcity, and food safety concerns. Larger firms reported underutilized production capacity due to the unreliable supply of raw materials, while smaller producers and retailers described frequent stock-outs and their inability to ensure product quality. Participants also pointed out the competitive disadvantages faced by new and smaller firms due to high transport costs and logistical unreliability. These barriers were reported to deter market entry and expansion. Established businesses are better equipped to mitigate such costs through private fleets and storage, reinforcing their dominance. Meanwhile, smaller businesses lack the capacity to absorb transportation shocks or invest in workarounds.

**The poor quality of transportation is reflected in inadequate trade-related infrastructure.** The country's ranking in the World Bank's Logistics Performance Index has declined from 127th out of 150 in 2007 to 138th out of 140 in 2023. More specifically, in the quality of trade and transport-related infrastructure, the Federal Republic of Somalia ranks 133rd out of 140 countries.<sup>43</sup> Despite some recent progress, quality standards and infrastructure in the Federal Republic of Somalia are largely deficient, and relevant institutions are at a nascent stage. Since the collapse of the state in 1991, the Federal Republic of Somalia has lacked a government-led quality infrastructure ecosystem. Practical

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<sup>42</sup> Bareisaite, Asta, Juan Andres Cartwright Ramon, and Mounir Bari. 2024. *Federal Republic of Somalia Country Private Sector Diagnostic*. Washington, DC: World Bank Group.

<sup>43</sup> World Bank. 2023. 2023 Logistics Performance Index (Global). *Logistics Performance Index*. <https://lpi.worldbank.org/international/global>.

measures for public health and safety to ensure the quality of goods and enable exports are often absent.<sup>44</sup>

**Security is also cited as a critical barrier that increases transportation costs and reduces predictability.** Security risks have rendered certain transport routes completely unusable, forcing businesses to rely on longer routes that increase both travel time and fuel costs. The unpredictability of security situations leads to frequent delays and disruptions, making it challenging for businesses to maintain reliable delivery schedules. It also hinders long-term planning, disproportionately affecting SMEs that lack the resources to mitigate these risks. Furthermore, focus group participants emphasized that ongoing insecurity significantly limits profitability, market entry, and expansion. This is particularly severe in the conflict-prone southern and central regions. The need for additional security measures, such as armed convoys or specialized secure vehicles, dramatically increases operational costs. Across FGDs, firms also cite threats from groups such as Al-Shabaab, clan-based rivalries, and the burden of informal taxation/extortion at checkpoints—robbery, intimidation, and prolonged delays—that raise operating costs and deter expansion beyond familiar, safer zones.

**Coping strategies to address security challenges exist but remain costly and limited in scope.** Some businesses have responded by adopting remote monitoring systems, mobile money solutions, and local partnerships to reduce risk. However, these options are often beyond the financial capacity of smaller firms. Security challenges also restrict access to farmland and inputs, lowering agricultural productivity and raising food insecurity. Participants consistently noted that improved security—through stronger government action and international support—is essential to enable private sector growth, support rural markets, and expand economic opportunities across the country.

### 3.2.2 Connectivity and digital technology

**Internet connectivity was cited as the third most binding constraint in 2024, making it far more salient than in 2023.** Reliable internet connectivity is essential for firm growth as it enables access to markets, customers, and suppliers beyond local boundaries. It supports key business functions such as digital marketing, online sales, data management, and communication, while also improving operational efficiency and access to digital financial services. Issues with internet connectivity were identified as the most binding obstacle to operations by 7 percent of firms in 2024—a considerable increase compared to just 2 percent in 2023, when it ranked as the third-to-last reported obstacle (Figure 3.1a and Figure 3.1b) signaling the likely presence of higher demand for connectivity from firms.<sup>45</sup>

**Issues with internet connectivity were cited as the most binding obstacle to operations mainly by larger firms and firms in the capital city.** In 2024, internet connectivity was cited as the top obstacle, primarily in Mogadishu, where 13 percent of firms reported it as the main constraint. However, this does not imply that connectivity is less adequate in the capital city. Rather, firms in

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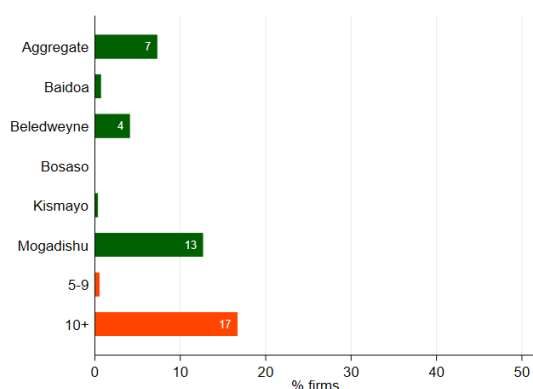
<sup>44</sup> Bareisaite, Asta, Juan Andres Cartwright Ramon, and Mounir Bari. 2024. *Federal Republic of Somalia Country Private Sector Diagnostic*. Washington, DC: World Bank Group.

<sup>45</sup> According to the recent WBES, 27 percent of firms in the economy report experiencing internet disruptions.

Mogadishu may have greater dependence on digital tools, which can amplify the costs of outages and slow speeds wherever they occur. Similarly, the issue was more pronounced among larger firms, with 17 percent identifying it as a major challenge. (Figure 3.5a). As firms grow, even modestly, they increasingly depend on digital tools for managing clients, teams, sales, inventory, and communication. Reliable connectivity becomes essential as unstable or low-quality internet undermines these basic business functions. Limited connectivity thus becomes a significant barrier to scaling up, even for firms that are not fully technology driven. Consistent with this, among those firms across the five cities that reported internet connectivity as a top obstacle, 90 percent identified low-speed internet as the main issue (Figure 3.5b).

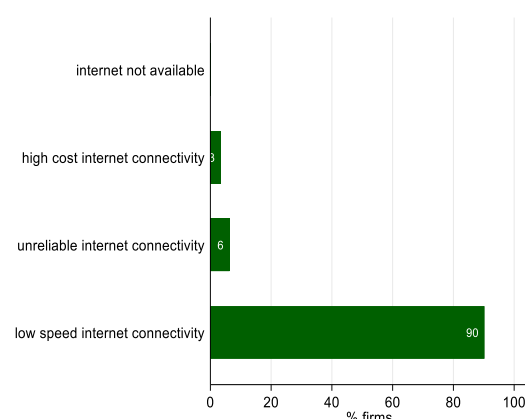
**Figure 3.5a - Firms in Mogadishu and larger firms are more constrained by connectivity issues**

Percentage of firms citing internet connectivity as the top obstacle, by city and size



**Figure 3.5b - Low speed is the most binding connectivity failure**

The worst problem cited when internet connectivity is the biggest obstacle (percentage of firms)



Source: The Federal Republic of Somalia IBES 2024.

**Broadband penetration and the use of internet bandwidth are low in the five cities that were analyzed, despite some progress in recent years.** As noted in the Federal Republic of Somalia CPSD, limited broadband access in the country is the result of both supply-side and demand-side issues. On the supply side, there are major gaps in middle- and last-mile infrastructure. The country's fiber optic network is largely underdeveloped, especially in the central and southern regions, partly because of ongoing security issues. While improving infrastructure is essential, overcoming demand-side challenges—such as limited digital literacy, financial constraints, and limited information on service availability—will also be necessary to enhance digital connectivity.<sup>46</sup> Unreliable internet connection and lack of access in some areas are also reported in FGDs as key factors preventing firms from expanding beyond their local municipality. Focus group participants acknowledged some progress in expanding internet access in recent years. However, they noted that

<sup>46</sup> Bareisaite, Asta, Juan Andres Cartwright Ramon, and Mounir Bari. 2024. *Federal Republic of Somalia Country Private Sector Diagnostic*. Washington, DC: World Bank Group.

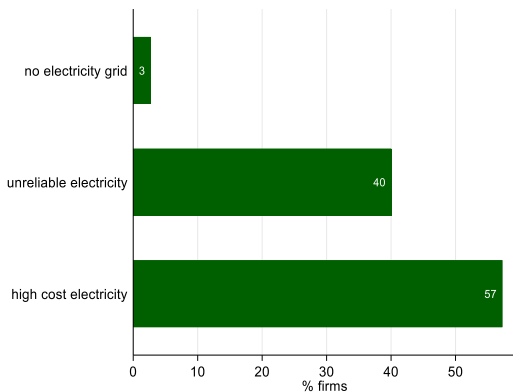
digital technology and internet connectivity remain significant challenges for many businesses, particularly small- and medium-size businesses operating outside the city centers.

### 3.2.3 Electricity

**Access to electricity is cited as the top obstacle for 11 percent of respondents in 2023 and 5 percent in 2024 (Figure 3.6a and Figure 3.6b).** The high cost of electricity (57 percent) and its unreliability (40 percent) are the main constraints faced by the firms identifying access to electricity as a top concern (Figure 3.6b). Issues with electricity vary across locations, with 39 percent of firms citing electricity as their top obstacle being in Kismayo and a negligible share in Mogadishu (Figure 3.6b). While these insights align with consultations performed by the World Bank for other analytical studies in the country (for example, the CPSD), they need to be contextualized by noting that the population of firms surveyed had more than five employees and was located in the largest cities in the Federal Republic of Somalia—where electricity is available to a larger proportion of firms than in other (more rural) regions. FGDs also noted that a lack of electricity outside their local municipality is one of the reasons firms remain local.

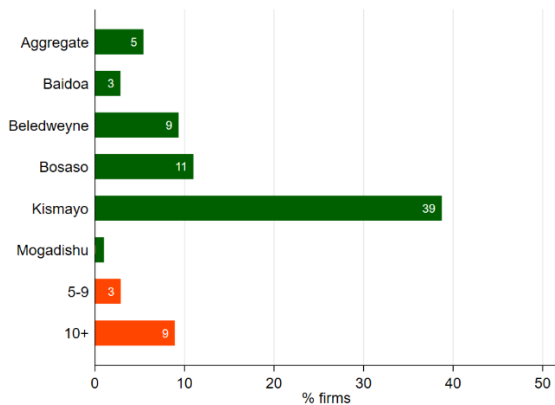
**Figure 3.6a - High cost of electricity is the main concern for firms**

The worst problem cited when electricity is the biggest obstacle (percentage of firms)



**Figure 3.6b - Firms in Kismayo are most severely hindered by electricity constraints**

Percentage of firms citing electricity as the top obstacle, by city and size



Source: The Federal Republic of Somalia IBES 2024.

### 3.3 Access to financial resources and government support

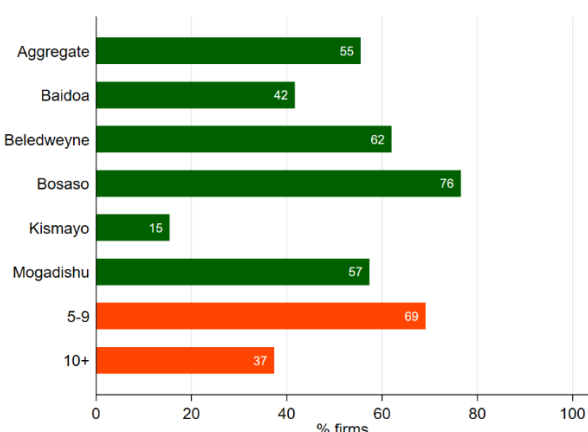
**In addition to market competition and infrastructure, firms consistently identify two related barriers to growth—limited access to finance and insufficient government support.** Many firms in the FGDs noted the difficulty in securing start-up or expansion capital, which significantly hampers their ability to enter or grow within the formal economy. Government support—whether through financial assistance such as grants or subsidized loans, or non-financial support such as training, advisory services, or regulatory facilitation—is also recognized as an important factor for business growth. This section discusses both aspects.

### 3.3.1 Access to financial resources

**Firms in the five cities that were analyzed are severely credit constrained.** Across the five cities that were analyzed, 55 percent of firms are credit constrained, a rate that is more than double the Sub-Saharan Africa average of 25 percent and four times the global share of 14 percent.<sup>47</sup> By city, the share ranges from 15 percent in Kismayo to 76 percent in Bosaso, with Mogadishu close to the aggregate average (57 percent). By size, smaller firms (5–9 employees) are nearly twice as likely to be credit constrained as larger ones (69 percent versus 37 percent), underscoring the disproportionate financial access challenges they face (Figure 3.7a). Financial constraints are a major barrier to firm entry, investment, and growth. Limited access to finance restricts firms’ ability to invest, hire, expand, or innovate, keeping them small and less competitive. Over time, this widens gaps between firms, as those with access to finance can grow and adapt, while constrained firms remain vulnerable.

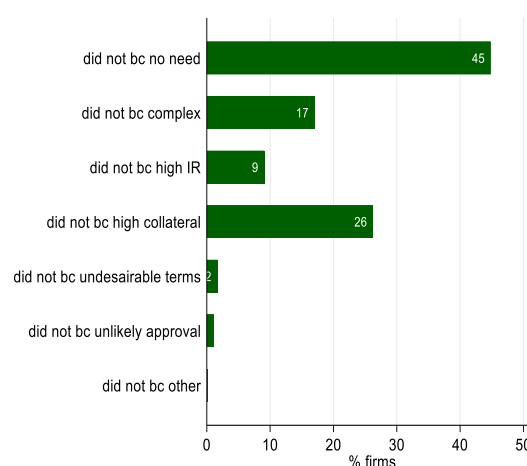
**Figure 3.7a - More than half of the firms are credit constrained, especially smaller firms and firms in Bosaso**

Percentage of firms that are credit constrained



**Figure 3.7b - Many firms that did not apply did not need a loan**

Reasons for not applying for a loan in the last 12 months (percentage of firms)



Source: The Federal Republic of Somalia IBES 2024.

Note: Firms are considered credit constrained if they do not have access to external finance and any of the following two conditions are met: (a) the firm did not apply for a loan for any reason other than the lack of need for it or (b) the firm applied for a loan but was rejected.

**Loan application rates fell sharply in 2024, even as rejection rates declined overall.** A closer analysis of some of the individual components of the credit-constrained index paints an even more concerning picture. Overall, in the cities analyzed, only 10 percent of firms applied for a loan in 2024,

<sup>47</sup> Credit-constrained firms are defined as those that do not have access to external finance, and for which any of the following two conditions are met: (a) the firm did not apply for a loan for any reason other than the lack of need for it or (b) the firm applied for a loan but was rejected, including cases where it had access to equity financing. Islam, Asif M., and Jorge Rodríguez Meza. 2023. “How Prevalent Are Credit-Constrained Firms in the Formal Private Sector?” *Policy Research Working Paper*, World Bank.

down from twice that rate in 2023<sup>48</sup> (Table 3.3). Over the same period, the rejection rate dropped from 70 percent in 2023 to 34 percent in 2024. While loan applications declined in all five major cities, the steepest drop occurred in Kismayo (55 percentage points). Rejection rates showed mixed patterns, with a sharp rise in Baidoa (53 percentage points) and Kismayo (24 percentage points), while falling in Mogadishu, Bosaso, and Beledweyne, where fewer firms applied but more were approved. Smaller firms were more likely to apply for loans than larger firms in both years. Although their rejection rates were initially higher than those of larger firms, they experienced a steeper decline in 2024 (Table 3.3).

**Table 3.3 - Credit application and rejection rates dropped, but there were disparities across cities and sizes**

Percentage of firms that applied for a loan and percentage of firms that applied for a loan and were rejected, by city and size

|                  | <i>Year</i> | <i>Applied (%)</i> | <i>Rejected (out of those that applied) (%)</i> |
|------------------|-------------|--------------------|-------------------------------------------------|
| <b>Aggregate</b> | <b>2023</b> | <b>20</b>          | <b>70</b>                                       |
|                  | <b>2024</b> | <b>10</b>          | <b>34</b>                                       |
| Baidoa           | 2023        | 13                 | 24                                              |
|                  | 2024        | 11                 | 77                                              |
| Beledweyne       | 2023        | 16                 | 69                                              |
|                  | 2024        | 13                 | 23                                              |
| Bosaso           | 2023        | 13                 | 98                                              |
|                  | 2024        | 8                  | 3                                               |
| Kismayo          | 2023        | 58                 | 39                                              |
|                  | 2024        | 3                  | 63                                              |
| Mogadishu        | 2023        | 25                 | 74                                              |
|                  | 2024        | 11                 | 28                                              |
| 5–9              | 2023        | 23                 | 72                                              |
|                  | 2024        | 11                 | 29                                              |
| 10+              | 2023        | 13                 | 61                                              |
|                  | 2024        | 9                  | 41                                              |

Source: *The Federal Republic of Somalia IBES 2023 and 2024.*

**High collateral, complex application procedures, and demand-side issues, such as limited awareness of financial products, were frequently cited as reasons why firms decide not to apply for credit.** Among firms that did not apply for a loan, 55 percent of the firms reported feeling constrained: 25 percent cited excessive collateral requirements, 17 percent pointed to overly complex application procedures, and the remainder perceived the terms as unfavorable or feared rejection. The remaining 45 percent of firms indicated they simply did not think that a loan was necessary (Figure 3.7b). These patterns—together with the sharp drop in applications and high rejection rates, and more generally, the high percentage of firms being credit constrained—indicate that firms’ lower demand for credit may be driven less by a lack of investment ambition and more by real or perceived barriers in the credit system. Mistrust in the financial system and low financial literacy may further discourage businesses from applying for credit. During the FGDs, entrepreneurs cited legacies of bank failures, low financial literacy, and limited awareness of formal financial products as drivers of distrust. Complex procedures and unclear terms hinder loan applications.

<sup>48</sup> The decline in loan applications discussed above is a concerning indicator. In FGDs, businessmen emphasized that investment was necessary not only to grow but also to be able to navigate the high market fluctuations in the Federal Republic of Somalia.

**Those firms that do apply for loans have to navigate several challenges.** Banks require land or property titles as collateral—requirements that many SMEs cannot meet. Given the lack of unsecured loan products, these requirements effectively exclude a significant portion of businesses, particularly those without substantial fixed assets, from accessing formal credit. Participants in FGDs also highlighted that, in addition to collateral, banks often demand guarantors, and in some cases, the involvement of a peace elder or a well-known businessperson, further raising the barrier to entry for many borrowers. The high cost of finance is another critical challenge reported across business sectors and sizes during FGDs, driven by factors such as rising interest rates, application and processing fees, expenses related to meeting collateral requirements, and the opportunity costs associated with the lengthy loan application process.

**Taken together, these patterns point to a thin, urban-concentrated credit market that serves larger, well-collateralized borrowers, leaving many SMEs and firms outside major cities underserved.** As noted in the CPSD, the availability of—and access to—a diverse range of financial services in the Federal Republic of Somalia is restricted by both supply-side and demand-side factors. The small degree of financial intermediation that is available is largely provided by a handful of institutions largely concentrated in urban areas and is generally focused on offering relatively larger loans. Some businesses—particularly those aiming to expand into rural regions—have reported, during FGDs, that they were entirely unable to obtain formal financing, significantly hindering their growth prospects. Beyond the collateral-related barriers already discussed, structural gaps such as limited branch presence outside urban centers, high transaction costs, and weak product diversification further constrain access. On the demand side, limited financial literacy and a general lack of awareness about available financial products continue to suppress demand for appropriate services. This situation stands in contraposition to the notable bright spot highlighted by recent World Bank assessments, which showed that the widespread use of mobile money has helped firms carry out basic transactions even in areas underserved by formal financial institutions.<sup>49</sup>

### 3.3.2 Government support

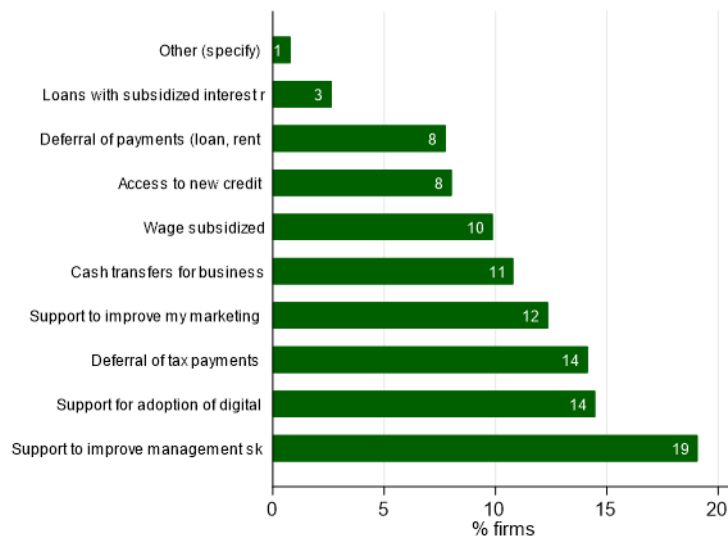
**Government support to the private sector is minimal.** In 2023, firms were asked whether they received government support over the previous year. The vast majority (99 percent) reported receiving no support and did not expect any in the near-term future. However, they showed high interest in receiving support, especially for improving their skills and adopting new technologies. When asked to select the three most needed policies to support their business from a list of 10, the most frequently cited were support to improve managerial skills (19 percent of firms) and assistance with adopting digital technologies (14 percent). Nearly 14 percent of firms indicated deferral of tax payments as the main support policy needed (Figure 3.8).

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<sup>49</sup> Bareisaite, Asta, Juan Andres Cartwright Ramon, and Mounir Bari. 2024. *Federal Republic of Somalia Country Private Sector Diagnostic*. Washington, DC: World Bank Group.

**Figure 3.8 - Firms preferred support to improve their capabilities**

Types of preferred support by government (percentage of firms)



Source: The Federal Republic of Somalia IBES 2023.

## 4. Firms' expectations

**Business expectations are a leading indicator of private sector performance and investment behavior.** Building on the analysis of outcomes in 2023–2024, the report now shifts to firms' forward-looking sentiments, focusing on three dimensions: (a) sales and workforce projections, (b) capital investment plans, and (c) financial resilience. Together, these expectations offer predictive insights into how firms anticipate future demand and their ability to withstand shocks. Although expectations do not automatically translate into outcomes, they influence hiring, production planning, and investment decisions. Capturing these outlooks enables policy makers to design targeted support measures and foster a more conducive environment for sustained private sector growth.

### 4.2.1 Sales and workforce expectations

**Firms' sales expectations have become significantly more optimistic between 2023 and 2024.** Looking six months ahead (relative to the same period a year earlier), the share expecting higher sales rose from 51 percent in 2023 to 74 percent in 2024, while the share of firms anticipating declining was negligible (1 percent and 0 percent, respectively). Accordingly, the share of firms that expected 'no change' slightly decreased from 48 percent to 26 percent. In 2024, the average expected increase in sales was about 20 percent (Figure 4.1a and Figure 4.1b). This sharp improvement signals rising confidence and potential expansion through investments, inventory buildups, and higher input purchases. However, a comparison of expectations and actual results shows that outcomes did not meet projected levels. Although 43 percent of firms in 2023 increased sales (Figure 2.3a), respondents overestimated opportunity and downplayed risk: in 2023, 51 percent anticipated a net 11 percent rise over 6 months whereas the 2024 actual net increase over the last 12 months was about 8 percent (Figure 2.3a, Figure 2.3b, Figure 4.1a, and Figure 4.1b).

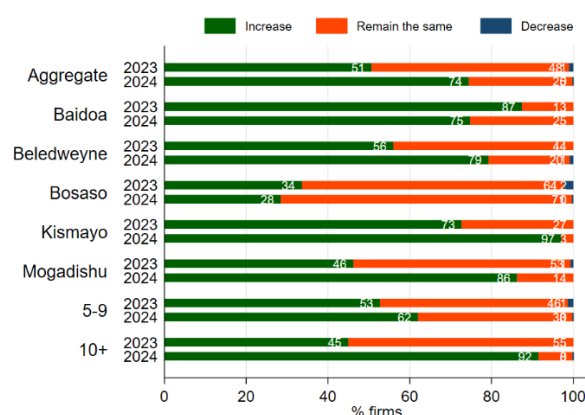
**While firms were broadly optimistic, there was notable heterogeneity across locations.** Compared to 2023, the share of firms expecting to increase sales rose in every city except Baidoa and Bosaso. The sharpest increase in optimism came from Kismayo, where in 2024, 97 percent of firms expected sales to rise by an average of 22 percent—up from 73 percent of firms expecting an 11 percent increase in 2023. By contrast, Bosaso projected the weakest expectations. Only 28 percent of firms anticipated growth in 2024, with an average increase of 9 percent, down from 34 percent of firms expecting a 21 percent increase in 2023. In the remaining cities, between 75 and 86 percent of firms expected sales to grow, with projected increases ranging from roughly 18 to 26 percent (Figures 4.1a and 4.1b). However, when comparing six-month projections made in 2023 to actual 12-month outcomes in 2024, expectations proved overoptimistic across the board. For instance, in Mogadishu, firms were less confident, yet an expected 7 percent increase in six months materialized as 4 percent. Firms in Bosaso proved the least realistic: while they anticipated a 7 percent increase, actual sales declined by 2.4 percent (Figure 2.3b and Figure 4.1b).

**Smaller firms were less optimistic than larger ones.** The share of larger firms expecting sales growth rose sharply from 45 percent in 2023 to 92 percent in 2024, compared to smaller firms, for whom expectations increased more modestly—from 53 percent in 2023 to 62 percent in 2024 (Figure

4.1a). The gap between expectations and actual outcomes is especially pronounced for smaller firms: in 2023, they projected an increase of 10 percent in six months but achieved only a 5.5 percent net increase after 12 months. Larger firms, by contrast, projected an 11 percent increase and slightly outperformed with 12.6 percent growth over 12 months. Reflecting this stronger performance, large firms became more optimistic in 2024, projecting a 19 percent net increase (Figure 4.1a Figure 4.1b).

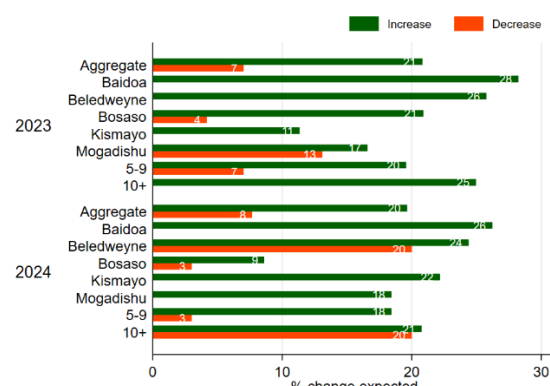
**Figure 4.1a - Firms showed optimism about demand in the future**

Expectations of changes in sales in the next six months compared with the same period last year, 2023 and 2024 (percentage of firms)



**Figure 4.1b - Baidoa, Beledweyne, and large firms were more optimistic about sales**

Percentage sales expected to change in the next six months compared with the same period last year, (by city, size, and year)



Source: The Federal Republic of Somalia IBES 2023 and 2024.

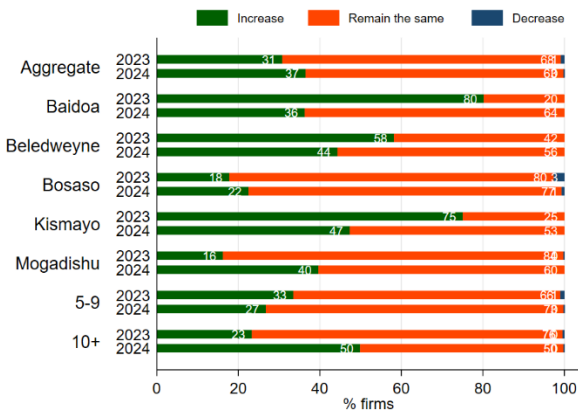
**Firms expecting to increase their workforce remain relatively stable, despite more optimistic sales forecasts.** The share of firms expecting to expand their workforce rose slightly from 31 percent in 2023 to 37 percent in 2024, with little movement in the share anticipating their workforce would remain stable (68 percent in 2023 and 63 percent in 2024), and a negligible proportion of firms expecting reduced headcounts (Figure 4.2a). This stands in sharp contrast to sales expectations which rose from a share of 51 percent in 2023 to 74 percent in 2024 (Figure 4.1b). The misalignment between rising sales expectations and more cautious employment plans is noteworthy. Several factors may explain this: firms may be hesitant to expand their workforce due to rising labor costs, economic uncertainty, limited availability of skilled workers, or a preference for meeting increased demand through productivity improvements or technological investments rather than hiring additional staff.

**Firms have also demonstrated overoptimism on employment.** Only 14 percent of the firms actually expanded in the year between 2023 and 2024 (Figure 2.4a - In 2024, majority of firms did not expand their workforce and even contracted. In 2024, the majority of firms did not expand their workforce and even contracted. Large disparities exist across cities and firm sizes. Firms in Baidoa, Kismayo, and Beledweyne lowered their expectations between 2023 and 2024. In Baidoa, for example, 80 percent of firms predicted an employment increase in 2023, but only 36 percent did so in 2024. Similarly, Kismayo saw a drop from 75 percent to 47 percent in the share of firms predicting

expansion of the workforce. Larger firms, however, became more optimistic: the share expecting an increase in hiring rose from 23 percent in 2023 to 50 percent in 2024 (Figure 4.2a). Moreover, the projected scale of workforce expansion in 2024 remains modest across most cities and firm sizes. For instance, in 2024, firms in Bosaso and smaller firms reported the highest expected workforce growth at 13 percent and 10 percent, respectively—an interesting contrast given that Bosaso has the lowest expected increase in sales among the five cities studied (Figure 4.2b).

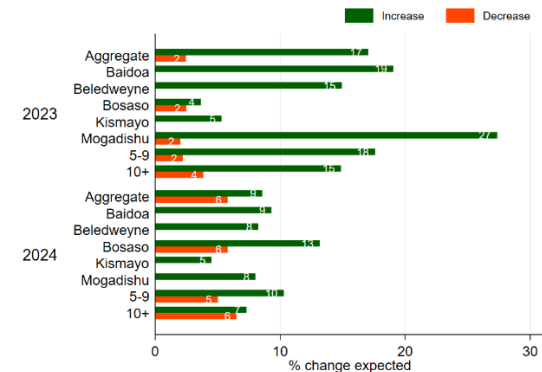
**Figure 4.2a - Expectations of expanding employment are not as high as sales**

Expectations of employment in the next six months compared with the same period last year, 2023 and 2024 (percentage of firms)



**Figure 4.2b - While lower share firms expect to hire workers in Bosaso and small firms, the average increase is higher**

Percentage employment increase expected in the next six months (by city and size and year)



Source: The Federal Republic of Somalia IBES 2023 and 2024.

**Box 4. Female entrepreneurship in the formal sector is limited**

In 2024, 75 percent of male-owned firms expected sales to increase over the next six months, up from 51 percent in 2023. Female-owned firms also showed gains, with the share expecting higher sales rising from 48 percent to 62 percent over the same period. While the increase for female-owned firms was slightly smaller, it still reflects more positive sales expectations for both groups (Figure 4.4).

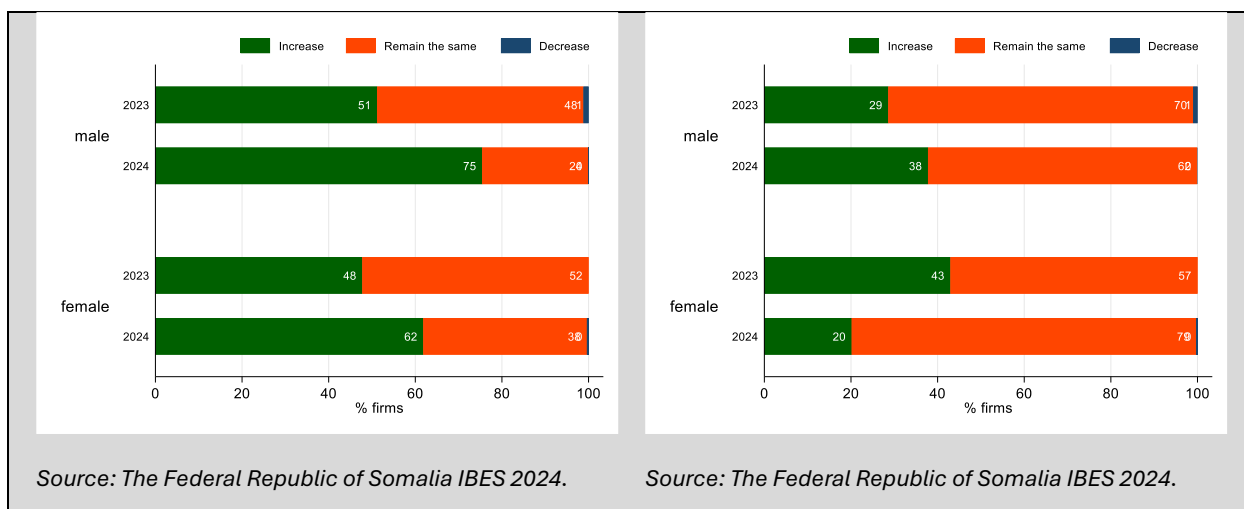
Employment expectations tell a different story. Male-owned firms showed only a modest rise in the share planning to expand their workforce, from 29 percent in 2023 to 38 percent in 2024. In contrast, female-owned firms became more cautious, with the share expecting to hire dropping from 43 percent to 20. This suggests that, although female entrepreneurs are optimistic about sales, they remain hesitant to expand employment—possibly because sales growth may not be seen as sustainable long term, or due to limited resources and support for managing additional staff (Figure 4.4). Overall, while sales expectations are improving for both male- and female-owned firms, employment growth remains a more cautious area, particularly among female-owned businesses.

**Figure 4.3a - Female entrepreneurs are as optimistic as male entrepreneurs regarding sales**

Expectations of changes in sales in the next six months compared with the same period last year, 2023 and 2024, by gender (percentage of firms)

**Figure 4.3b - However, female entrepreneurs have less positive expectations about employment growth**

Expectations of changes in employment in the next six months compared with the same period last year, by gender, 2023 and 2024 (percentage of firms)



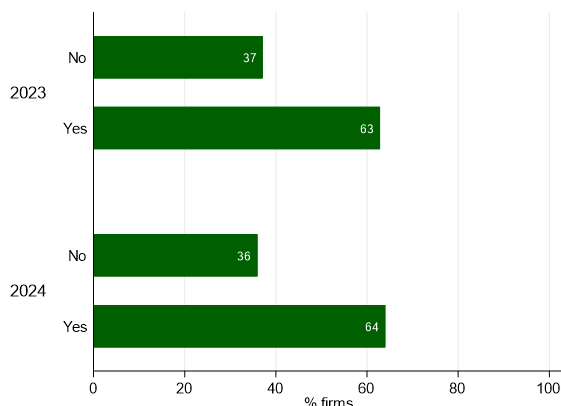
#### 4.2.2 Firm-level investment expectations

**Although investment expectations remain stable and high, signaling confidence in future growth, they proved overoptimistic.** The share of firms expecting to invest in new or used fixed assets in the next six months remains steady at encouraging levels—63 percent in 2023 and 64 percent in 2024 (Figure 4.4). This means that only about one in three firms does not plan to invest in the next six months, a finding that misaligns with the patterns discussed in Section 2.3, where only 31 percent of firms, in 2024, invested in the last 12 months (see Figure 2.8a). The discordance between expectations and realizations—evident in 2023 when projected sales, employment, and investment failed to materialize in 2024—raises questions about the reliability of such expectations as predictors of actual outcomes. It is possible that structural constraints, such as economic instability, market competition, or access to finance, prevent firms from translating optimistic plans into concrete investment decisions. This persistent optimism gap therefore highlights both the resilience of business sentiment and the fragility of the conditions needed to turn that sentiment into sustained growth.

**Regional variation in capital investment expectations remains stark.** For instance, in 2024, nearly all firms in Kismayo (93 percent) planned to purchase fixed assets, indicating robust local optimism or perhaps specific opportunities in that city. In contrast, very few firms in Bosaso (16 percent) anticipated investing, highlighting potential constraints or differing local economic conditions (Figure 4.4a). The difference between projected investment in 2023 and actual investment in 2024 is highest in Kismayo, where 97 percent of firms intend to invest in the next six months but only 11 percent invested in the last 12 months (Figure 2.8a and Figure 4.4b). As expected, firm size plays a role: larger firms are more likely to plan for investment, with 68 percent reporting expected asset purchases compared to 61 percent of smaller firms in 2024. Larger firms overestimated investments by 55 percentage points (90 percent projected investments, but only 35 percent did so). Smaller firms were more modest: 53 percent expressed intention and 28 percent put it into practice (Figure 2.8a and Figure 4.4b). This underlines the importance of ensuring that smaller enterprises also have access to the resources and conditions needed to invest and grow.

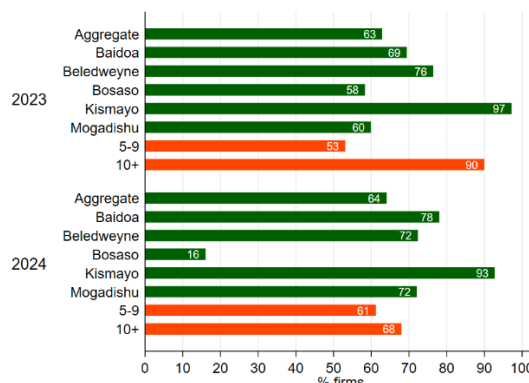
**Figure 4.4a - Expectations about investment didn't change between 2023 and 2024**

Percentage of firms that expect to purchase any new or used fixed assets in the next six months compared with the same period last year (by city and size)



**Figure 4.4b - Firms in Kismayo have higher expectations of investments**

Percentage of firms that expect to purchase any new or used fixed assets in the next 6 months compared with the same period last year (by city, size, and year)



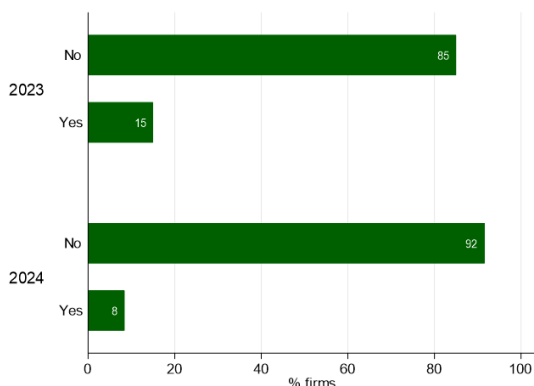
Source: The Federal Republic of Somalia IBES 2023 and 2024.

## 4.2.3 Financial resilience expectations

**Expectations of financial resilience have improved, reflecting growing business confidence.** In terms of financial resilience, approximately 8 percent of businesses in 2024 expect to fall into arrears within the next six months, down from 15 percent in 2023 (Figure 4.5a). This growing confidence is likely linked to the broader improvements in sales and investment expectations. As firms anticipate higher revenues and plan for capital investment, they may also feel more secure in their ability to generate sufficient income to cover operating costs and debt obligations. Bosaso reports the highest share of businesses anticipating arrears (22.0 percent), while Kismayo has the lowest (0.3 percent). Smaller firms are more likely than larger ones to anticipate falling into arrears over the next six months (10 percent of smaller firms versus 6 percent of larger firms) (Figure 4.5b).

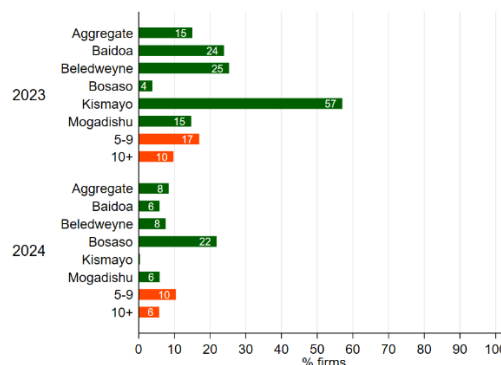
**Figure 4.5a - Firms reduced their expectation to fall in arrears**

Percentage of firms expecting to fall in areas in the next six months, by year



**Figure 4.5b - Bosaso's firms are less confident about their financial situation**

Percentage of firms expecting to fall in arrears in the next six months, by city and size

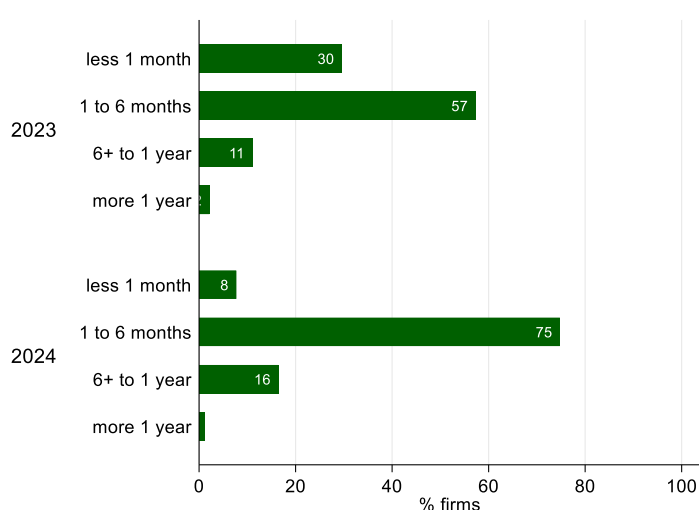


Source: The Federal Republic of Somalia IBES 2023 and 2024.

**Resilience is further supported by an increase in survival expectations in the event of a sudden stop in sales.** When asked how long their establishment could continue operating given current cost structures but no sales, respondents in 2024 appeared to be on more solid financial ground. In 2023, 30 percent of firms reported they would be unable to operate for more than a month; by 2024, this figure had fallen to just 8 percent. The share of firms able to operate for between one and six months increased from 57 percent in 2023 to 75 percent in 2024. Few firms in either year believed they could survive for a year or more, and only 11 percent (2023) and 16 percent (2024) reported being able to last between six months and one year (Figure 4.6).

**Figure 4.6 - Firms improved their resilience prospects**

Time firms could remain open if sales stopped (percentage of firms)



Source: The Federal Republic of Somalia IBES 2023 and 2024.

**The alignment of these expectations—stronger sales, increased investment, and reduced likelihood of arrears—points to an overall improvement in business sentiment and suggests a more favorable outlook for private sector stability and growth.** The only area where expectations have not shown a comparable improvement is employment. Despite optimism around sales and investment, firms remain cautious about expanding their workforce, indicating that labor decisions may lag behind other indicators of recovery due to cost concerns, regulatory uncertainty, or limited confidence in the sustainability of demand.

## 5. Conclusive remarks

**The evidence presented in this report provides a diagnostic overview that can inform the Federal Republic of Somalia’s broader reform agenda in support of private investment and jobs.**

Providing detailed recommendations is beyond the intended scope of this report. However, the analysis highlights areas likely to have the greatest impact on firm productivity and job creation, which could be further explored in policy design and sequencing exercises.

**The analysis in the report confirms that firms in the Federal Republic of Somalia face binding constraints that must be addressed for jobs- and productivity-enhancing reforms to take effect.**

Such challenges are not uncommon in fragile and conflict-affected settings, and identifying and implementing these foundational, first-order policy reforms can provide clear a roadmap for building a more dynamic, resilient, and inclusive private sector. Key obstacles in the Federal Republic of Somalia include large price distortions, significant barriers to trade and investment, and critical infrastructure gaps. Tackling these constraints could enable Somali firms to improve competitiveness, increase product quality, and expand productive capacity, therefore strengthening private sector growth and employment outcomes.

**Table 5.1 provides a summary of these constraints, with some high-level measures that can be further unpacked in the upcoming analytical work, including the Somalia Country Growth and Jobs Report.** Findings from the 2025 Enterprise Survey, along with the forthcoming Somali IBES (led by the SNBS), will further strengthen the analytical basis for policy dialogue. Together with the results presented in this report, they can provide the diagnostics needed to identify more granular constraints and guide targeted interventions supporting private sector-led growth in the Federal Republic of Somalia. At the same time, addressing remaining evidence gaps—particularly on informality, which accounts for over 70 percent of all firms—will remain crucial.

**Table 5.1 - Summary of constraints**

| <i>Constraints identified</i>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | <i>Suggested follow-up</i>                                                                                                                                                                                        |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Market concentration and absence of competition.</b> High concentration limits competitive pressure, reducing incentives for investment, innovation, and productivity improvement. Firms especially point to distorted prices as a constraint. Dominant firms can set prices above competitive levels, creating barriers for smaller firms and new entrants, and constraining growth opportunities across the sector.                                                                                               | A better understanding of the sources of price distortions, along with measures to ensure market entry for firms, appears to be a first-order requirement for stimulating competition and enhancing productivity. |
| <b>Barriers to trade and investment.</b> Most businesses operate locally rather than nationally or internationally, competing within narrow geographic or sectoral boundaries. This market fragmentation limits incentives to invest, introduce new products or processes, and upgrade skills—key drivers of labor productivity, wages, and job creation. In this context, trade and investment policies could play an important role in fostering external competition and improving access to technology and inputs. | Potential measures include reducing trade and investment barriers, streamlining customs and regulatory procedures, and supporting firms’ integration into domestic, regional, and global value chains.            |

| <b><i>Constraints identified</i></b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | <b><i>Suggested follow-up</i></b>                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Regional fragmentation.</b> Economic activity is heavily concentrated in Mogadishu, where a few well-resourced urban firms dominate, while firms in other regions struggle to formalize and grow. Expanding business activity beyond the capital could diversify economic opportunities, reduce regional disparities, and promote broader labor market participation, reinforcing both private sector growth and the creation of more productive and inclusive employment opportunities across the Federal Republic of Somalia.</p> | <p>The limited presence of formal firms, particularly outside Mogadishu, highlights the need for policies that support formalization, simplify regulatory compliance, and incentivize investment in secondary cities and regional hubs.</p> <p>At the same time, knowledge of the informal sector remains limited. A companion study examining the characteristics and performance of informal firms would provide valuable insights to inform policy design.</p> |
| <p><b>Infrastructure gaps and weak connectivity.</b> These challenges further constrain private sector development outside Mogadishu. Poor road conditions and seasonal flooding further impede the movement of goods, disrupting supply chains, inflating operational costs, and making business particularly challenging for larger firms.</p>                                                                                                                                                                                          | <p>Addressing these infrastructure challenges is therefore essential to improve market access, reduce costs, and enable firms across the country to expand operations, enhance competitiveness, and create more inclusive employment opportunities.</p>                                                                                                                                                                                                           |

## Appendix

### A.1. Survey methodology and implementation

The Federal Republic of Somalia Integrated Business Surveys collected data from formally registered establishments across five Somali cities: Baidoa, Beledweyne, Bosaso, Kismayo, and Mogadishu in 2023 and 2024. For multi-establishment firms, each establishment may be a separate unit of analysis, provided its financial statements are individually identifiable. Firms with multiple locations but with only consolidated financial statements are considered a single unit of analysis.

The survey exclusively targeted establishments officially registered with either the Ministry of Commerce and Industry or the local municipality, which

- Employ a minimum of five workers, categorized into three size classes: small (5 to 19 employees),<sup>50</sup> medium (20 to 99 employees), and large (100 or more employees) and
- Operate within non-farm and non-financial private sectors. Specifically, the following sectors were included manufacturing (Group D); construction (Group F); various service sectors (Groups G and H); transport, storage, and communications (Group I); and information technology (division 72 of Group K) as per the International Standard Industrial Classification (ISIC) Rev. 3.1.

Data collection occurred in two consecutive rounds including 700 firms each.

- Round 1 took place between August and November 2023.
- Round 2 was a follow-up of the previous round conducted between October 5, 2024, and November 18, 2024.

Nearly 86 percent of the firms interviewed during round 1 were also interviewed during the second round of data collection. The distribution of complete interviews in both years is detailed in Table A.1.

The sampling method employed was stratified random sampling, ensuring a representative cross section of businesses. Weights were computed and used in the analysis to project the results to the population of inference. Table A.1 presents the sample design in both rounds of data collection.

**Table A.1 - Federal Republic of Somalia Integrated Business Survey: Number of observations by sector**

| City   | Size           | Food<br>manufactur<br>ing 2023 | Food<br>manufactur<br>ing 2024 | Other<br>manufactur<br>ing 2023 | Other<br>manufactur<br>ing 2024 | Reta<br>il<br>2023 | Reta<br>il<br>2024 | Hotel<br>and<br>Touris<br>m<br>2023 | Hotel<br>and<br>Touris<br>m<br>2024 | Other<br>servic<br>es<br>2023 | Other<br>servic<br>es<br>2024 |
|--------|----------------|--------------------------------|--------------------------------|---------------------------------|---------------------------------|--------------------|--------------------|-------------------------------------|-------------------------------------|-------------------------------|-------------------------------|
| Baidoa | Small (5–19)   | 10                             | 1                              | 6                               | 2                               | 35                 | 59                 | 19                                  | 4                                   | 19                            | 38                            |
|        | Medium (20–99) | 0                              | 0                              | 0                               | 0                               | 1                  | 12                 | 3                                   | 0                                   | 7                             | 14                            |

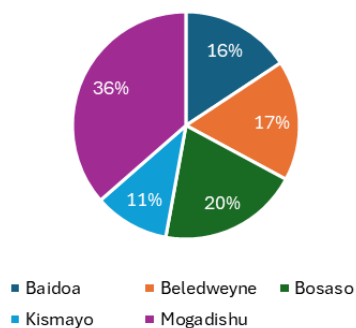
<sup>50</sup> While the survey focused on firms with more than 5 employees, between 12 and 18 firms with fewer than 5 employees are included in the dataset, respectively in 2023 and 2024. The original sampling frame included only firms with 5+ employees, and some of these firms may have reduced their workforce since then, though they are still sampled as representative of small firms (5–9 employees).

| City       | Size           | Food<br>manufactur<br>ing 2023 | Food<br>manufactur<br>ing 2024 | Other<br>manufactur<br>ing 2023 | Other<br>manufactur<br>ing 2024 | Reta<br>il<br>2023 | Reta<br>il<br>2024 | Hotel<br>and<br>Touris<br>m<br>2023 | Hotel<br>and<br>Touris<br>m<br>2024 | Other<br>servic<br>es<br>2023 | Other<br>servic<br>es<br>2024 |
|------------|----------------|--------------------------------|--------------------------------|---------------------------------|---------------------------------|--------------------|--------------------|-------------------------------------|-------------------------------------|-------------------------------|-------------------------------|
|            | Large (100+)   | 0                              | 0                              | 0                               | 0                               | 0                  | 0                  | 0                                   | 0                                   | 0                             | 0                             |
|            | Unknown        | 0                              | 0                              | 0                               | 0                               | 3                  | 1                  | 1                                   | 0                                   | 6                             | 1                             |
| Beledweyne | Small (5–19)   | 0                              | 2                              | 0                               | 1                               | 64                 | 38                 | 0                                   | 1                                   | 28                            | 52                            |
|            | Medium (20–99) | 1                              | 2                              | 0                               | 0                               | 7                  | 4                  | 0                                   | 0                                   | 7                             | 8                             |
|            | Large (100+)   | 0                              | 0                              | 0                               | 0                               | 1                  | 1                  | 0                                   | 0                                   | 2                             | 0                             |
|            | Unknown        | 0                              | 0                              | 0                               | 0                               | 3                  | 0                  | 0                                   | 0                                   | 7                             | 1                             |
| Bosaso     | Small (5–19)   | 0                              | 2                              | 0                               | 3                               | 1                  | 0                  | 3                                   | 16                                  | 4                             | 0                             |
|            | Medium (20–99) | 0                              | 1                              | 1                               | 1                               | 0                  | 2                  | 0                                   | 0                                   | 11                            | 12                            |
|            | Large (100+)   | 0                              | 0                              | 0                               | 0                               | 1                  | 1                  | 0                                   | 0                                   | 0                             | 0                             |
|            | Unknown        | 48                             | 1                              | 14                              | 1                               | 4                  | 38                 | 37                                  | 1                                   | 16                            | 51                            |
| Kismayo    | Small (5–19)   | 1                              | 0                              | 0                               | 2                               | 3                  | 29                 | 0                                   | 4                                   | 3                             | 28                            |
|            | Medium (20–99) | 0                              | 0                              | 0                               | 0                               | 7                  | 4                  | 0                                   | 1                                   | 7                             | 3                             |
|            | Large (100+)   | 0                              | 0                              | 0                               | 0                               | 0                  | 0                  | 0                                   | 0                                   | 0                             | 0                             |
|            | Unknown        | 0                              | 0                              | 0                               | 0                               | 0                  | 0                  | 0                                   | 0                                   | 54                            | 2                             |
| Mogadishu  | Small (5–19)   | 9                              | 6                              | 10                              | 24                              | 40                 | 54                 | 0                                   | 61                                  | 21                            | 72                            |
|            | Medium (20–99) | 0                              | 1                              | 1                               | 1                               | 4                  | 2                  | 0                                   | 3                                   | 8                             | 2                             |
|            | Large (100+)   | 1                              | 0                              | 1                               | 0                               | 5                  | 1                  | 0                                   | 1                                   | 7                             | 1                             |
|            | Unknown        | 1                              | 1                              | 78                              | 1                               | 3                  | 1                  | 62                                  | 1                                   | 4                             | 22                            |

## A.2. Survey sample composition

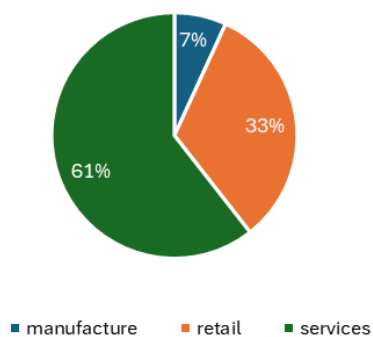
### By stratification variables

**Figure A2.1a - Distribution of firms in sample, by location 2023, not weighted**



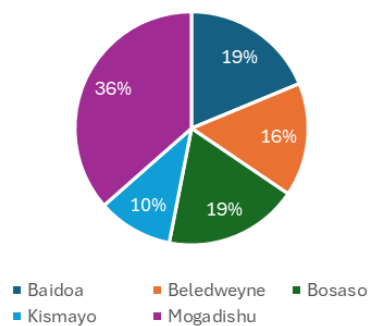
Source: The Federal Republic of Somalia IBES 2023.

**Figure A2.2.a - Distribution of firms in sample, by sector 2023, not weighted**



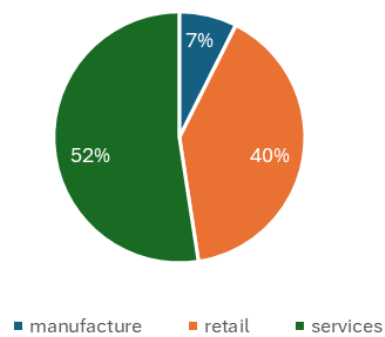
Source: The Federal Republic of Somalia IBES 2023.

**Figure A2.1b - Distribution of firms in sample, by location 2024, not weighted**



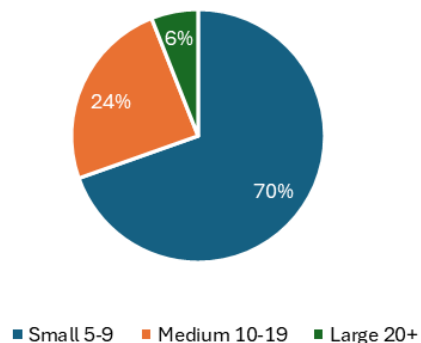
Source: The Federal Republic of Somalia IBES 2024.

**Figure A2.2b - Distribution of firms in sample, by sector 2024, not weighted**



Source: The Federal Republic of Somalia IBES 2024.

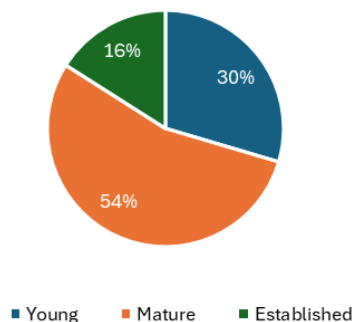
**Figure A2.3a - Distribution of firms in sample, by size 2023, not weighted**



Source: The Federal Republic of Somalia IBES 2023.

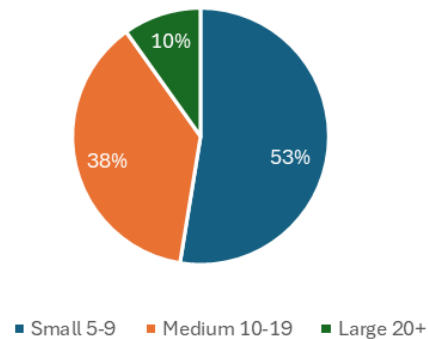
Note: There are 12 firms in 2023 and 18 in 2024 with fewer than 5 employees

**Figure A2.4a - Distribution of firms in sample, by age 2023, not weighted**



Source: The Federal Republic of Somalia IBES 2023.

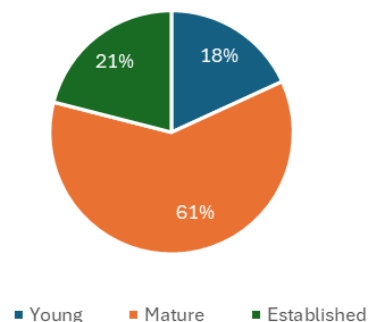
**Figure A2.3b - Distribution of firms in sample, by size 2024, not weighted**



Source: The Federal Republic of Somalia IBES 2024.

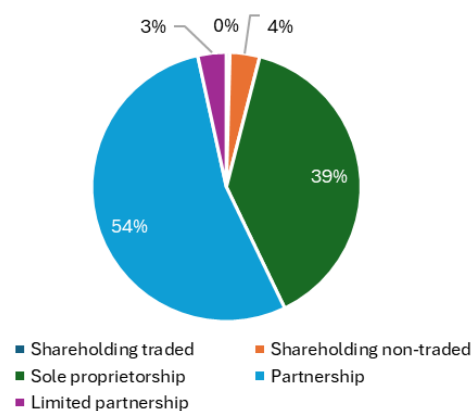
Note: There are 12 firms in 2023 and 18 in 2024 with fewer than 5 employees

**Figure A2.4b - Distribution of firms in sample, by age 2024, not weighted**



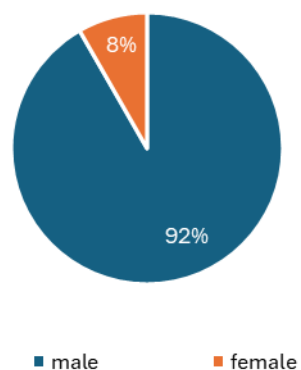
Source: The Federal Republic of Somalia IBES 2024.

**Figure A2.5a - Distribution of firms in sample, by legal status 2023, not weighted**



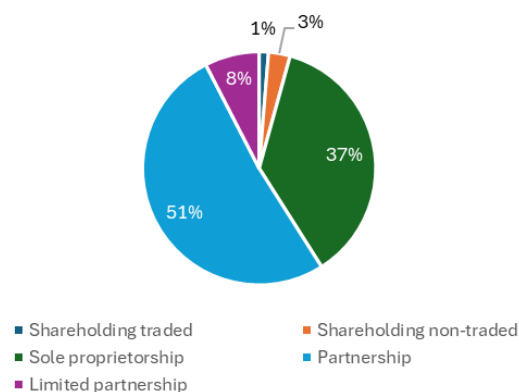
Source: The Federal Republic of Somalia IBES 2023.

**Figure A2.6a - Distribution of firms in sample, by gender 2023, not weighted**



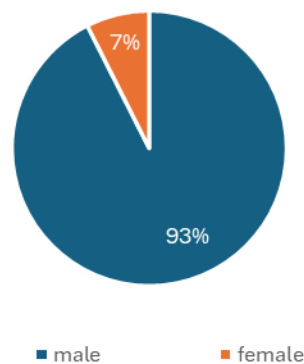
Source: The Federal Republic of Somalia IBES 2023.

**Figure A2.5b - Distribution of firms in sample, by legal status 2024, not weighted**



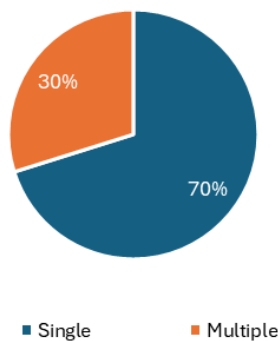
Source: The Federal Republic of Somalia IBES 2024.

**Figure A2.6b - Distribution of firms in sample, by gender 2024, not weighted**



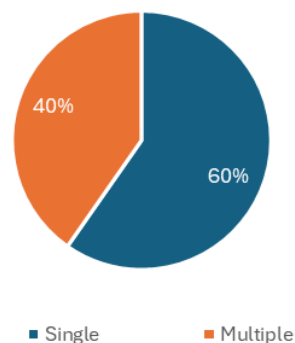
Source: The Federal Republic of Somalia IBES 2024.

**Figure A2.7a - Distribution of firms in sample, by multi-establishment 2023, not weighted**



*Source: The Federal Republic of Somalia IBES 2023.*

**Figure A2.7b - Distribution of firms in sample, by multi-establishment 2024, not weighted**



*Source: The Federal Republic of Somalia IBES 2024.*

### A.3. Focus group discussions

The qualitative assessment consisted of two rounds of 12 FGDs within the same strata (location, size, and sector) targeted in the Federal Republic of Somalia Business Survey. The two rounds of FGDs were complementary to the two survey rounds.

The first round took place between December 19, 2023, and January 4, 2024. Round 2 took place between February 22, 2025, and March 19, 2025. All participants are individuals responsible for making major strategic and financial decisions within the businesses they represent. To ensure only the people who meet the above criteria were recruited to participate in the FGDs, establishments were contacted by phone to determine their eligibility and willingness to participate in the FGD. Table A.2 shows the distribution of the FGDs across the five locations in the study.

The objective of the FGDs was to add further context to the Federal Republic of Somalia Business Survey results in select areas covered by the survey. The FGDs were facilitated using an open-ended discussion guided by experienced moderators and notetakers, ensuring that key topics were covered while allowing room for participants to share their views and experiences. Each FGD aimed to have at least seven participants from private sector businesses that cut across eligible sectors and sizes (small, medium, large)—which was achieved in all but one FGD. Moderators and notetakers were trained in Somali. Discussions were recorded, and recordings were transcribed word for word in Somali, then translated into English and reviewed for accuracy and completeness.

Tables A.3–A.5 provide a more detailed overview of the firms that participated in the FGDs. It includes the dates when each session was held, the number of businesses involved in each discussion, and the location, for both 2023 and 2024.

**Table A.2 - Distribution of FGDs across the five locations (Round 1)**

| <i>City</i> | <i>FGD</i> | <i>Number of businesses represented in FGDs</i> | <i>FGD date</i> |
|-------------|------------|-------------------------------------------------|-----------------|
| Baidoa      | FGD 1      | 8                                               | 01/02/2024      |
|             | FGD 2      | 8                                               | 01/04/2024      |
| Beledweyne  | FGD 1      | 7                                               | 12/24/2023      |
|             | FGD 2      | 7                                               | 12/24/2023      |
| Bosaso      | FGD 1      | 8                                               | 01/02/2024      |
|             | FGD 2      | 6                                               | 01/04/2024      |
| Kismayo     | FGD 1      | 7                                               | 12/24/2023      |
|             | FGD 2      | 6                                               | 12/29/2023      |
| Mogadishu   | FGD 1      | 8                                               | 12/19/2023      |
|             | FGD 2      | 5                                               | 12/23/2023      |
|             | FGD 3      | 7                                               | 12/24/2023      |
|             | FGD 4      | 7                                               | 12/27/2023      |

**Table A.3 - Distribution of FGDs across city, sector, and size (Round 1)**

| <i>City</i>       | <i>Sectors</i>      | <i>Large (100+)</i> | <i>Medium (20–99)</i> | <i>Small (5–19)</i> | <i>Total</i> |
|-------------------|---------------------|---------------------|-----------------------|---------------------|--------------|
| <b>Baidoa</b>     | Food                |                     |                       | 1                   | 1            |
|                   | Hotel and tourism   |                     | 2                     | 1                   | 3            |
|                   | Other manufacturing |                     |                       | 2                   | 2            |
|                   | Other services      |                     | 2                     | 2                   | 4            |
|                   | Retail              |                     | 2                     | 4                   | 6            |
|                   | <b>Total</b>        |                     |                       |                     | <b>16</b>    |
| <b>Beledweyne</b> | Food                |                     | 1                     | 1                   | 2            |
|                   | Hotel and tourism   |                     | 1                     | 2                   | 3            |
|                   | Other manufacturing |                     |                       | 1                   | 1            |
|                   | Other services      | 1                   | 3                     | 2                   | 6            |
|                   | Retail              |                     |                       | 2                   | 2            |
|                   | <b>Total</b>        |                     |                       |                     | <b>14</b>    |
| <b>Bossaso</b>    | Food                |                     | 1                     | 2                   | 3            |
|                   | Hotel and tourism   |                     | 1                     |                     | 1            |
|                   | Other manufacturing |                     |                       | 1                   | 1            |
|                   | Other services      | 1                   | 2                     | 2                   | 5            |
|                   | Retail              |                     | 2                     | 2                   | 4            |
|                   | <b>Total</b>        |                     |                       |                     | <b>14</b>    |
| <b>Kismayo</b>    | Food                | 1                   | 1                     | 3                   | 5            |
|                   | Hotel and tourism   |                     | 1                     |                     | 1            |
|                   | Other manufacturing |                     |                       |                     | 0            |
|                   | Other services      |                     | 1                     | 2                   | 3            |
|                   | Retail              |                     | 2                     | 2                   | 4            |
|                   | <b>Total</b>        |                     |                       |                     | <b>13</b>    |
| <b>Mogadishu</b>  | Food                | 1                   | 2                     | 1                   | 4            |
|                   | Hotel and tourism   |                     | 1                     | 1                   | 2            |
|                   | Other manufacturing |                     | 1                     |                     | 1            |
|                   | Other services      | 1                   | 3                     | 5                   | 9            |
|                   | Retail              | 2                   | 4                     | 5                   | 11           |
|                   | <b>Total</b>        |                     |                       |                     | <b>27</b>    |

**Table A.4 - Distribution of FGDs across the five locations (Round 2)**

| <i>City</i>       | <i>FGD</i> | <i>No. of<br/>businesses<br/>represented in<br/>FGD</i> | <i>FGD date</i> |
|-------------------|------------|---------------------------------------------------------|-----------------|
| <b>Baidoa</b>     | FGD-1      | 8                                                       | 3/15/2025       |
|                   | FGD-2      | 8                                                       | 3/15/2025       |
| <b>Beledweyne</b> | FGD-1      | 8                                                       | 3/19/2025       |

| <i>City</i>      | <i>FGD</i> | <i>No. of<br/>businesses<br/>represented in<br/>FGD</i> | <i>FGD date</i> |
|------------------|------------|---------------------------------------------------------|-----------------|
|                  | FGD-2      | 8                                                       | 3/25/2025       |
| <b>Bosaso</b>    | FGD-1      | 8                                                       | 3/13/2025       |
|                  | FGD-2      | 8                                                       | 3/26/2025       |
| <b>Kismayu</b>   | FGD-1      | 9                                                       | 3/22/2025       |
|                  | FGD-2      | 9                                                       | 3/25/2025       |
| <b>Mogadishu</b> | FGD-1      | 10                                                      | 3/11/2025       |
|                  | FGD-2      | 11                                                      | 3/12/2025       |
|                  | FGD-3      | 11                                                      | 3/13/2025       |
|                  | FGD-4      | 8                                                       | 3/23/2025       |

**Table A.5 - Distribution of FGDs across city, sector, and size (Round 2)**

| <i>City</i>       |                     | <i>Large (100+)</i> | <i>Medium (20–99)</i> | <i>Small (5–19)</i> | <i>Total</i> |
|-------------------|---------------------|---------------------|-----------------------|---------------------|--------------|
| <b>Baidoa</b>     | Food                |                     | 1                     | 2                   | 3            |
|                   | Hotel and Tourism   |                     | 1                     | 2                   | 3            |
|                   | Other Manufacturing |                     | 1                     | 2                   | 3            |
|                   | Other Services      |                     | 2                     | 2                   | 4            |
|                   | Retail              |                     | 1                     | 2                   | 3            |
|                   | <b>Total</b>        |                     |                       |                     | <b>16</b>    |
| <b>Beledweyne</b> | Food                |                     | 1                     | 2                   | 3            |
|                   | Hotel & Tourism     |                     |                       | 2                   | 2            |
|                   | Other Manufacturing |                     | 1                     | 2                   | 3            |
|                   | Other Services      | 1                   | 1                     | 2                   | 4            |
|                   | Retail              | 1                   | 1                     | 2                   | 4            |
|                   | <b>Total</b>        |                     |                       |                     | <b>16</b>    |
| <b>Bosaso</b>     | Food                |                     | 1                     | 1                   | 2            |
|                   | Hotel and Tourism   |                     | 1                     | 2                   | 3            |
|                   | Other Manufacturing |                     | 1                     | 2                   | 3            |
|                   | Other Services      | 1                   | 1                     | 2                   | 4            |

| <i>City</i>      |                     | <i>Large (100+)</i> | <i>Medium (20–99)</i> | <i>Small (5–19)</i> | <i>Total</i> |
|------------------|---------------------|---------------------|-----------------------|---------------------|--------------|
| <b>Kismayu</b>   | Retail              |                     | 2                     | 2                   | 4            |
|                  | <b>Total</b>        |                     |                       |                     | <b>16</b>    |
|                  | Food                | 1                   | 1                     | 2                   | 4            |
|                  | Hotel and Tourism   | 1                   | 1                     | 2                   | 4            |
|                  | Other Manufacturing | 1                   | 1                     | 2                   | 4            |
|                  | Other Services      |                     | 1                     | 2                   | 3            |
|                  | Retail              |                     | 1                     | 2                   | 3            |
|                  | <b>Total</b>        |                     |                       |                     | <b>18</b>    |
| <b>Mogadishu</b> | Food                | 4                   | 4                     | 3                   | 11           |
|                  | Hotel and Tourism   | 1                   | 1                     | 2                   | 4            |
|                  | Other Manufacturing | 2                   | 2                     | 3                   | 7            |
|                  | Other Services      | 2                   | 2                     | 4                   | 8            |
|                  | Retail              | 3                   | 3                     | 4                   | 10           |
|                  | <b>Total</b>        |                     |                       |                     | <b>40</b>    |